HDB FINANC SER (HDBFS)

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HDB/SLC/2025/1362

July 21, 2025

To,
Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, Block G,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400051

Scrip Code: HDBFS To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400001

Scrip Code: 544429

Sub.: Transcript of Earnings Call for the quarter ended June 30, 2025

Dear Sir / Madam,

In continuation to our letter dated July 15, 2025, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regul ations, 2015, the transcript of the Earnings Call with analysts and investors held on July 15, 2025, in r elation to the Unaudited Standalone Financial Results of the Company for the quarter ended June 30, 2025, has been made available on the website of the Company at the link:

https://www.hdbfs.com/investor/dur62-financial-results

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal
Company Secretary and Compliance Officer
Membership No. F11340

Encl.: As above

For the Earnings Call held on July 15, 2025, 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO
MR. JAYKUMAR SHAH – CFO
MR. VISHAL PATEL – HEAD, INVESTOR RELATIONS

Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties
that could caus e our actual results to differ materially from those in such forward -looking statements. HDB Financial Services
Limited (HDBFS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator : Ladies and gentlemen, good day and welcome to the Q1FY26 Earnings Conference Call hosted by HDB Financial Services. Please note this conference call is for analysts and investors only.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Patel from HDB Financial Services. Thank you and over to you, Mr. Vishal.
Vishal Patel: Thank you, Sagar. I welcome all of you to the first earnings call of HDB Financial Services Limited for Q1FY26 . We have with us Mr. G Ramesh – MD and CEO along w ith Mr. Jay kumar Shah, the CFO and the senior management of the company.
I believe all of you would have had a chance to peruse our financial results, investor presentation and press release which ha ve been filed with the stock exchanges earlier today and is also available on our website , www. hdbfs.com.
We will start with the management remarks and then open up the call for Q&A. The audio recording of this call will be available on our website shortly after the call ends.
I would now like to welcome Mr. G Ramesh for his opening remarks. That will be followed by Mr. Jaykumar Shah who will provide a brief on the financial results followed by Q&A.
G Ramesh: Thank you, Vishal and a very good evening to all of you joining in. Let me begin by expressing my grat itude to the investor community, our customers, our stakeholders including our regulators and our parent HDFC Bank as we engage d with them on our IPO journey. Thank you all.
Being the first earnings call, I will take a few minutes to give a quick overview of the company and its operations before getting into the quarterly business update.
Started in 2007, we are one of India's largest diversified and retail -focus ed NBFCs with presence in more than 1 ,770 branches in more than 1 ,100 cities across India. As of June 30, 2025, we had Total Gross Loans of over ■ 1.09 Lakh Crores, a customer base of 20.1 M customers with an average ticket size of 164,000 – which emphasizes our truly granular and retail nature.
We offer lending products to our three business ve rticals , Enterprise Lending, Asset Finance and Consumer Finance.

1) Enterprise Lending is the first business vertical started in 2008. It currently constitutes 39% of our Gross Loan Book and is focused on lending a variety of secured and unsecured loans to business customers, both individuals and businesses as well as certain types of salaried individuals. These loans are primarily delivered to our branch network, and these loans are aimed at providing finance for the growth and working capital requirements of our customers.
2) Asset Finance vertical, which we started in 2010, constitutes 38% of our Book and is aimed

at offering financing options to customers for acquiring new and used commercial vehicles, construction equipment and tractors. These are income generating assets. We have a strong OEM partnership and dealer network spread across the country as well as a dedicated in - house sales team that spearheads our efforts in this vertical.
3) Consumer finance vertical started in 2016. Today, it constitu

tes 23% of our Book.
Through this vertical, we aim at providing credit to individuals looking to finance their two-wheelers, consumer durables, digital products and cars or other lifestyle choices. Our large network of partnership with OEMs and dealers across the country, aided by a sales team present at the point of sale, backed by digitally assisted journeys, forms the fulcrum of sourcing this vertical.
The secured book , which is loan secured by a collateral, accounts for 73% of our Loan Book, while unsecured book is 27%. Broadly, our secured book consists of Loan against Property, Gold Loans in the Enterprise Lending vertical, entire Asset Finance vertical and Auto and Two-wheeler loans in the Consumer Finance vertical.
Sourcing and Distribution
We have a div ersified and well -established channel tailor -made for each of the products in our suite, including pan -India branch network, tele -calling teams, OEM channels and dealer network, DS As and digital sourcing. I elaborated on our branch network , channel partner s and primary sourcing channels for each vertical earlier.
In addition to that, over 80% of our branches are located beyond 20 larger cities of India – in line with our focus on providing credit to ‘aspirational India ’. Our 38 ,000+ strong feet -on-street /field sales staff help us understand the Indian micro -market and design tailor -made product offerings to fulfil customer -needs.
While our physical network ensures a high touch -and-feel factor, our processes are tuned to digital or assisted digital journey s, ensuring quick turnaround time and a seamless customer experience. Our mobile app, which is called HDB OnTheGo has crossed 10 M downloads.
This makes us a truly “phygital” company.
Coming on to our Credit and Collections ,
We have a 360 -degree credit assessment methodology, and the credit vertical is headed by Chief Credit Officer, which is independent of the business origination verticals.

Our hybrid credit underwriting model includes (1) a centralized automated system with scorecards and rule -based decision making for smaller ticket /low tenure loans and (2) an independent assessment by the branch -based credit managers, including physical evaluations of larger ticket loans. These are aided by product and geography -specific scorecards.
Our proprietary underwriting and credit scoring engine is seasoned across credit cycles and is updated periodically bas is our understanding of micro -markets. This enables faster credit decisions.
Coming to collections , this function has been part of our operating model since our inception.
We have an in -house team of 12,500 + employees in our collections vertical consisting of tele -callers and feet -on-street, present at the branch, regional and national levels, ensuring sensitivity to local languages and customs. The coll ections team uses multiple scorecards to monitor collections across buckets. Each customer in the bucket is assigned a risk score band and has a pre-determined collection strategy based on which further action is taken b y the collections team.
Over 95% of our collections happens through the banking channels. Our collection process is monitored and tracked through our collections application developed in -house with geo -tagging and e -receipt capabilities.
We have a Center of Excellence with a dedicate d central collections team, which is responsible for training and quality checks of collections personnel, tracking and monitoring the quality of our collections process and undertake centralized billing and auction off for asset disposals.
In terms of our Financing (our liabilities)
We have an independent treasury d epartment that is responsible fundraising and liquidity management. We have diversified funding from various sources, including public, private sector and foreign banks, mutual funds, i

nsurance companies, pension funds and financial institutions.
We raise funds through NCDs, Term Loans, Commercial Papers, External Commercial Borrowing s, Subordinate Debt and Perpetual Debt. Our treasury operations are monitored by the Asset Liability Committee (ALCO), which oversees our liquidity, interest and currency risks.
To briefly touch upon our Risk Management, we have a robust risk management framework and a comprehensive risk management policy. Our risk management team is led by our Chief Risk Officer wit h oversight by the Risk Management Committee of our Board of Directors.

With that, I'd like to extend my heartfelt thanks to our 80,000 plus employees, many of whom have been with us for over 18 years.

Coming to the quarterly business updates ,
With an expected stable monsoon season – higher farm incomes and consequent rural demand can provide a stimulus to rural consumption while helping moderate headline and food inflation.
The recent rate reduction by the regulator augurs well for growth, as econom ic momentum can be expected by private consumption and traction in fixed capital formation.
Within consumer finance – Q1, which coincides with summer months, is typically a strong quarter for product segments like ACs and Refrigerators, or compressor prod ucts as we call them, wherein traction this year was seen to be relatively lower.
Mortgage demand is expected to hold, especially with reduction in benchmark rates.
Q1 generally tends to be a seasonally weak quarter for vehicle finance. Early indicators and volumes probably indicate a relatively muted quarter this year compared to a year ago, with corresponding stress on asset quality.
On that no te, I will now hand over to Jayk umar, the CFO of the company, for an update on the financials.
Jaykumar Shah: Thank you, Ramesh and thank you very much everybody for dialing in.
Moving on to the financial performan ce for the quarter.
■ Our customer franchise grew to 20.1 million, an increase of 5% during the quarter and 20.4% Y-o-Y.
■ The Total Gross Loans as at June 30, 2025, stood at ■109,342 crores, growing 2.3% sequentially and 14.3% Y-o-Y. Secured loans, as Ramesh mentioned, comprise 73% of the total loan book.
■ Disbursements for the quarter ended at June 30, 2025, was ■15,171 crores, down 14.0% sequen tially and 8.1% Y-o-Y.
■ Our branch count, as Ramesh mentioned, stood at 1,771 branches, spread across 1,166 cities and towns.
■ Net interest income for the quarter was ■2,092 crores, an increase of 6 .0% Q-o-Q and 18.3% Y-o-Y.
■ Net Interest Margin (NIM) for Q1FY26 expanded to 7.7% versus 7.6% in Q4FY25 and 7.6% in Q1FY25.
■ Our Cost-to-income ratio for the lending business was 42.7% in Q1FY26 as compared to 42.9% in Q4FY25 and 43.2% in Q1FY25.
■ Credit cost for the quarter was ■670 crores as compared to ■634 crores in the prior quarter.
■ In Q1FY26, BPO services contributed to ■14 crores or 1.9% of our Total PBT.
■ Profit after tax for the quarter ended June 30, 2025, stood at ■568 crores as against ■531 crores for the prior quarter.
■ Gross Stage 3, which in ou r case, is the same as gross NPA under IRAC norms, stood at 2.56% as at June 30, 2025, as against 2.26% as at March 31, 2025.

■ Provision coverage on Stage 3 stood at 56.7%.
■ The return metrics are after accounting for primary IPO proceeds of ■2,500 crores as at June 30, 2025.
■ ROA (annualized) , as at the quarter end, stood at 1.94%, which includes assets of approximately ■9,000 crores of OFS as at the quarter end. Adjusted for this, ROA would be 2.02%.
■ ROE (annualized) for the quarter ended June 30, 2025, stood at 13.16%.
■ Earnings per share for the quarter was ■7.1 with a Book Value of ■225 .4/share
■ Our borrowing mix remains well diversified with 39% of our borrowings coming from NCDs

, 39% from bank loans, and rest as a mix of CPs, ECBs, Perp & S ub-debts, as is visible from the earnings presentation that we have put up.
■ We remain well capitalized with a total CRAR of 20.18% as at June 30, 2025.
With that, thank you once again to all our employees, the invest or community, and all

stakeholders and shareholders, including the regulators , who have assisted us on our journey. I'll hand it back to the operator to help us open it up for Q&A.
Moderator: Thank you very much. We will now begin the Q&A session. Our first question comes from the line of Abhi jit Tibrewal from Motilal Oswal . Please go ahead.
Abhijit Tibrewal: Yes. So, I don't know if you heard me. I was trying to say, first of all, congratulations on your first earnings call. I just had two questions. First is, you put out your disbursement mix in the quarter. So, I was seeing that Asset Finance disbursements were down almost 15% Y-o-Y. So, I was just trying to understand, if I look at the industry numbers, industry volumes, the volumes are not down to that extent. So, what is it that is leading to some weakness in terms of disbursement and growth in our Asset Finance vertical?
And secon d, in terms of asset quality, our 30 + DPD is up almost 90 basis points Q-o-Q. So, some weakness that we are seeing in asset quality. So, if you could just help us understand, this is more in the nature of the seasonality that we see in the first quarter, o r is this more looking like some weakness in macro, which is contributing to it? And also, if you could help us understand, this weakness is more pronounced in vehicle financing or some other customer cohorts in Consumer Finance. So, just these two questio ns. Thank you so much.
G Ramesh : So, thank you for that question, Abhijit . And so, specifically, if you look at, you know, relative to the book growth of about 15%, our net interest income grew by about 18. 3% Y-o-Y. And our Net Interest Margin also expanded to 7.7% from 7.6% primarily on the back of higher yield, right, the impact of some of the rate reductions that are there in the syste m really did not show up in Q1. We expect them to start showing up in the subsequent quarters as we replace our debt and as we replace our, you know, as our book grows, and as we take on newer debt to replace the older debt, which might be at a higher rate.
So specifically in Commercial Vehicles, what we've seen is anyway it's a seasonally weak quarter . One of the things that we have done is really re-orient our strategy around the product mix, which started reflecting in some of our NI M numbers in terms of the mix between the various asset classes within the Commercial Vehicle business, right? So, this r ecalibration is

something that we started about a year ago, something that has started showing results in terms of net interest margins that we are starting to see inching up in our book. And so that's something that will play out over the next few months. So, that's largely where the Asset Finance space is there. And again, because it's a seasonally weak quarter, primarily some of our increase in the early stage delinquencies are in our secure loans, which is primarily in Commercial Vehicles. We expect tha t to calibrate over the next, you know, few months in terms of just the seasonality and the way the business works.
Abhijit Tibrewal: Got it. Just one last thing as a follow up. In terms of provisioning cover, if I am seeing this correctly, our provisionin g covers on Stage 1 and Stage 2 have declined sequentially. So, just trying to understand, is this more a function of the EC L model? Because, I mean, all I'm trying to understand is if the macros are still weak, what is kind of going into the EC L model for it to churn out lower provision covers on your Stage 1 and Stage 2 loans?
Jaykumar Shah: So, Abhijit, in terms of h

ow we do our modeling overall ECL, we have very granular book in terms of overall loans. So, we work on a base model. Our overall provision, as you would see, is 3.3%, which is the same as last quarter. Our PCR is a constant. Some of the interplays that work is purely on account of book mix at every stage, you know, that works its way through. And some of the weakness that we've seen as Ramesh highlighted has been on the CV side, which is a secured product.
Moderator: Our next question comes from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta: Again, just coming back to the disbursement de -growth in the CV f inancing portfolio, it seems -- and I think from the ticket size, average ticket size, it seems that we predominantly do used - vehicle financing in that product. So now this de -growth and disbursement in business on a Y-o-Y basis would have been driv en by, you know, seeing genuine slowdown in demand of used vehicles on the ground or was it because of factors like unsustainable competition or maybe pricing not being in line with your expectations?
Jaykumar Shah: So, two things, Rajiv. One is, you're ri ght, there has been some weakness in the CV segment as a whole and that's coming through. Secondly, we don't really finance large vehicles. So, on the HCV space, etc., we're small. So, I mean, that's largely in terms of how the economy has fared and how the business is. There hasn't been any other specifics that we would highlight.
Rajiv Mehta: Okay . And in the Enterprise Lending segment, also the disbursements are down on Y -o-Y basis. So, is it driven by LAP or the unsecured business loans or in both se gments have we seen the business being lower versus last year?
Jaykumar Shah: So, two things there. On the overall Enterprise Lending side, on the unsecured business loan is where we had consciously slowed down a couple of quarters ago. We're making sure, as the

economy turns around, we watch it closely. And as things turn around, we will move forward on that . So that space – we're very well entrenched into. So, we're keeping a close eye on that one. On the LAP front, I think there has been reasonable growt h in line with how the overall markets moved is the way I would put it.

Rajiv Mehta: Okay. And can you share the 1 to 30 DPD bucket, at the company level in absolute terms or percentage terms, how that has moved between June and March? Has it also signific antly gone up sequentially, which is generally the case from a seasonality point of view, but is that bucket also still heavy as we get into the second quarter?

Jaykumar Shah: So, what I'll do is, I mean, there is a slide which very clearly states the stag e one. Let me just look through that, and I'll come back to you. Probably we'll try and see if we can come back by the end of the call or we'll then address it. Yes.

Rajiv Mehta: Sure, sir. Thank you. Thanks so much.

Moderator: Thank you. Our next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi Sir. Congrats on a good set of members. There's two questions. One on the asset yield side, which expanded 30 basis points sequentially. So just wanted to understand following this cycle, what is driving this effective expansion of sequential business? Is it driven by the asset mix change or we have increased the lending business…

Jaykumar Shah: Renish, my apologies. Can you go a little slow ? We are struggling to hear you.

Renish: Yes, yes. Is it better now, sir?

Management: Yes, it's better now.

Renish: Yes. So, first question on the asset yield side, which expanded almost 30 basis point sequentially. So, just wanted to understand in the falling rate cycle, what is dri ving the asset yield expansion ? I mean, is it driven by the asset mix change or we have increased lending rates in some of the segm

ents?

G Ramesh: So, R enish, there are two factors which are driving the yield expansion. One is that within each product that we do, there's a pretty large range of pricing that we have depending on the borrower profile and the asset profile, right? For example, a simplistic example, commercial vehicles, a heavy commercial vehicle to a fleet versus a used commercial vehicle which is 5 years old to a first-time borrower. There's a fairly large range of pricing that you have.

So, some of the products that we have, we have tweaked the product mix in terms of yield expansion at the product level. And that's what's really driving the yield expansion. Pricing is really a function of what we finally deliver as the product mix in each product. And that's what's really driving the yield expansion.

Renish: Okay. So, is it fair to assume that maybe 10 -20 basis point here and there, but broadly, I think it will remain at around 15%, I mean, in near term?

Jaykumar Shah: So, R enish, Jay here. Our yields are approximately 14.1, 14.2, which is what we hold on to. Not sure where you got 15% from, but that's the yield , right? And the NIM s is wh at we really have been very focused on. That's 7.7 %, which is what we've been very focused on as a whole.

Renish: Okay. And secondly, on the credit cost front, so this quarter, our credit cost remains strictly at 2.5%, which is understandable given typical Q1 seasonality. But when we look at even on annual basis, the same is higher by 70 on basis point. We just wanted to understand which product is sort of giving the stress and where do we stand in terms of asset quality cycle in the products which are unde r stress currently? And when can we expect the normalization of credit cost in some of the segments?

Jaykumar Shah: So, in terms of credit cost, I would say it's largely in line with our expectations in terms of where we ended the quarter. So, I think that is the first important statement there. In terms of products, we had, even during previous interactions with the broader community, stated that there has been past stress in unsecured business loans and a little bit on the CV, which we expect to stabilize , as Ramesh said, over the coming months. So, we'll watch that space closely and move from there.

Renish: Okay. So, apart from unsecured business loan and CV, there is no other segment which is sort of showing any sign of stress. I mean, is that fair to as sume?

Jaykumar Shah: So, we haven't seen any , unwarranted spikes anywhere, is the way I would put it.

Renish: And just to follow up on that, so in CV...

Jaykumar Shah: Renish , we'll take one question and the rest later...

Renish: Sure. I'll come back in the queue.

Moderator: Thank you. Our next question comes from the line of Viral Shah from IIFL Capital. Please go

ahead.
Viral Shah: Yes. Hi. First of all, thank you and congratulations on the first quarter. I had two questions. One is, you mentioned that you expect that in the, especially the consumer piece of the business and some bit in the CV, the current stress, which is there, it should kind of say or is close to peaking out and it should start improving in the next few months.
When I look at the Consumer Finance disbursements , which is almost now flattish on a Y -o-Y basis and a sequential basis, we have seen a growth. Are we already starting to say, push the pedal of, say, growth or slightly loosening the filters over there?
G Ramesh: So, just to cla rify, Viral, the Consumer Finance business is doing quite well. I think where we had a lower ticket size compared to what we would have anticipated is primarily because certain products that sell quite in a large volume during the quarter, we had lower tra ction on those products, primarily the compressor products, which account for larger ticket size. But otherwise, if you see, I think

customer engagement has been quite strong during the quarter. As we mentioned, we are now 20. 1 million customers, up 0.9 mi llion customers in the quarter. So, in terms of customer traction, it's been quite healthy. I think where we have, I think there are two product categories where we said our credit cost has had an elevation in the last couple of quarters is one, Commercial Vehicles, and second is unsecured business loans. The Consumer

Finance categories, you know, otherwise, both from a growth and quality perspective is doing quite well.
Viral Shah: Okay, got it. And you mentioned about the unsecured business loans. Over there also, you expect, say, a similar kind of recovery in the second half? Or is that something that may take some more time?
Jaykumar Shah: So, Viral, we 'll watch it closely. As I mentioned, I think it has obviously the macros also playing out in it. So, it's a space we'll watch closely. It is currently stabilizing in a decent form. And let's look through the coming months.
Viral Shah: Got it. And my second question, with regards to basically our opex, and this is more, I would say, when I look at us and compare it with some of our peers, somehow the productivity levels seem to be a bit weaker on a relative basis when I look at, say, either per branch or per employee. And I'm looking at just the lending business, not the overall business.
So, over here, do we see a pathway of structurally, say, the operating leverage now from here on playing out as we kind of keep growing? And what is that extent of operating leverage that we can see over the next 2, 3 years?
Jaykumar Shah: So, Viral, I'll give you our side of it. The most important thing you need to look at us as HDB is we're a very focused retail-only entity, right, with an average loan size of around 160,000 - 165,000, right? And individual 20 large customers, if you take, it's only 0.32%. Now, that level of granularity, when you operate through the network, it is going to be at a slightly different cost base in terms of how others might operate. And I'm no expert to comment on anybody else, but we believe at this level of how we're operating, obviously, every management would look to improvising on things and getting better efficiency. But at this stage, if you look specifically in the current qua rter, our Cost-to-income ratio has improved by almost 20 bps compared to the prior quarter.
So, we're very seized of the fact that costs play an important role in the overall RO A metric. And at this point in time, I think we're working through the branch n etwork, the retail network that we have, and our focus, always remains on delivering the overall RO A.
Viral Shah : Okay, just a bit, like, the guidance in terms of the opex specifically over the medium term?
Jaykumar Shah: So, I think we'll take it at a fut ure point in time. I think there is lots of interplay in the overall macro -economy. I don't think it's fair to provide a guidance in specific.
Viral Shah : Got it. Thank you, and all the very best. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Suresh Ganapathy from Macquarie. Please go ahead.
Suresh Ganapathy: So just a little bit on what you think will be the eventual sustainable credit cost, because we are already at 2.5% for this quarter. And the fourth quarter was, I mean, sorry, last year, full year was 2.1% because we're already operating at a high level. A nd your numbers are much higher

than peers. And also, the RO A level at 1.9%, again, it is much, much lower than peers. So, is the business model inherently having higher credit costs and therefore lower RO A? Because we have touched 3% RO A also in the past. So, we want to know where the reality is and where things would eventually settle, because yo u are currently operating at 1.9% RO A. That's one point. And yes, so that's the first question. Maybe then I'll go for the second one. Yes.

Jaykumar Shah: Suresh, I'll try and answer your questions. So, on the credit cost level, as I said, Q1 has been weaker and almost in line with expectations. We expect things to move in the right direction from here on and stabilize through Q2 and then improve going forward. That's our current working assumption and the piece that we're working on. That's one.

On the RO A front, as I mentioned, the way to look at 1.9% is really 2.02% because of the ■9,000 crores sitting there. And as credit costs start to improve, you'll automati cally see an improvement in ROA.

Another important thing, Suresh, is that, on the rate reduction, as Ramesh mentioned, the benefits of that haven't really come through at this point in time for us. And something that you will see in terms of NIM expansion over the coming quarters.

Suresh Ganapathy: Okay. And this is my last question. It's just a qualitative understanding since you guys, of course, run the business. What is explaining this CV slowdown? Is the government not spending? Is the rural incomes we aker? Because we see rural incomes being very buoyant. Last year, monsoon was fantastic. Still, we have had this kind of an outcome in the CV space. Is it over -leveraging? Any kind of qualitative assessment that you can give on what has gone wrong here?

G Ramesh: So, it's very difficult for us to give a color on how and what drives certain volumes. Like, for example, one of the things that we think happened, for example, in the compressor space was that there were unseasonal rains. It wasn't too hot and, th at led to certain lower traction that we saw on compressor product financing. So, that's relatively easier to sort of guess. Very difficult to guess what's driving vehicle sales at any point of time. I guess, there are many factors, including availability and revenues that are coming.

I think one of the things that's happened in the last few years is that vehicle prices have gone up quite sharply, also led by many technological changes. For example, one of the things is that I think newer vehicles require an air -conditioned cabin. It's a production requirement, and that will automatically increase prices, which means that vehicles are being deployed for longer than they used to be in the past. Also, maybe because vehicles are much more sturdy in terms of quality and capability as compared to maybe a couple of decades back. So, something that we are watching and monitoring.

One of the things that we have done internally is actually really focused on aligning our segment - wise strategy in Asset Finance, and which I explained also has contributed to our NIM expansion on the yield side. As I said, our NIM has expanded because our yields have improved, not because of benefit of cost of funds, which will start coming from Q2 onwards.

Suresh Ganapathy: But, Ramesh, that can increase credit costs also, right, because you're moving up the risk curve.

G Ramesh: We really look at it from a risk -adjusted return. I think we are okay with increasing credit costs as long as the risk -adjusted return is favorable.

Suresh Ganap athy: Sure. That's clear. Thank you.

Moderator: Thank you. Our next question comes from Shubhranshu Mishra from Phillip Capital . Please go ahead.

Shubhranshu Mishra: Hi. Good evening. I have two or three questions. The first one is, we are still in a star tup phase, right? If I look at the product portfolio, only LAP and Enterprise Business Loans are the ones that are really stable, rest of them are anywhere between two to four years. So, are we going to see closure of any businesses or addition of any new business lines going forward? That's the first question.

The second is around the customer segmen

t. Out of the 20 million customers that we h ave, how many do we bank on a monthly basis, which is NACH hitting their bank accounts? And what is the percentage of repeat customers in those 20 million?

The third question is around the PCR, which is about 56%. Despite a large proportion of our busines s being secured, 56% in EC L methodology would basically allude to the LGD. So, are we carrying excess provision or are LGDs at around 50%?

Jaykumar Shah: Sorry, Shubhranshu . I think we caught some of your questions. Some of them was not very clear. I'll ju st repeat the question so that we're on the same page. Any closure or new businesses that you're planning to start? That was your first question. Second question we caught out was current customers, and then I think we lost some of it.

Shubhranshu Mishra: Right, right. From the current customer set, of a customer of 20 million, how many are we banking on a monthly basis? And what is the percentage of repeat customers here? The third question was around the PCR. We are at 56% PCR, despite a higher proportion of secured business. So, PCR would mean basically LGD. So are LGD at 5 0%+ or are we carrying excess provision?

Jaykumar Shah: So, on PCR today, Shubhranshu , what we've done is we've calibrated it based on what we believe are the right levels to carry. Of course, there's a model that shows up a number, and then we look

at it in terms of the overall market and individual product -wise, and we carry provisions accordingly. So, that's on the PCR.
Shubhranshu Mishra: So, there's no excess provisions there?
Jayku mar Shah: As I mentioned, I think there will be some amount of product -wise, specific book -wise that we look at on a quarterly basis, and we maintain provisions to make sure the risks are well covered.
G Ramesh: So, in terms of product mix, Shubhranshu , we do evaluate new credit products all the time. You know, as and when we have a new product out, we'll put it out to the market. At this point of time, there's no product that we're considering for closure. That's not in the plan right now. We're broadly co mfortable with the product mix that we have and working towards making sure that

we are not dependent on any one product or any one category to an extent that it impacts our balance sheet.
In terms of repeat customers, that really depends on some of the p roducts. For example, within our Consumer Finance segment, and if you've seen our business presentation, we have a deck on all the products, right? And so, in consumer finance, there's a product…
Jaykumar Shah : Slide 17.
G Ramesh: Slide 17, which talks about our products. So, Relationship PL, which is a product which accounts about 7% of our AUM, is only for existing customers of the company. So, that business is 100% existing customer -only product.
But otherwise, from a - just a market opportunity persp ective, about more than 60% of our customers will be new to HDB customers at any point of time, all right? And we don't lend money to customers who don't have a bank account. So, the first option for collections is through a bank account, and only if the c ustomer is unable to pay or has missed the payment to the bank account, do we pursue other collection modes.
Shubhranshu Mishra: How many customers do we bank on a monthly basis?
G Ramesh: That would be in excess of 10 million.
Shubhranshu Mishra: Right.
G Ramesh: ….we bank all our customers if that's the question.
Shubhranshu Mishra: So, we are banking 20 million customers on a monthly basis, 20 million EMI?
Jaykumar Shah : Sorry, sorry.
Moderator: Shubhranshu sir, your line was not quite audible. Could you please repeat the question once again?
Shubhranshu Mishra: How many bank accounts do we present in NACH ?
G Ramesh : We bank all of them. All of our customers. All of them. We collect NACH mandat

e from every customer that we work with.
Shubhranshu Mishr a: So, 20 million NACH mandates every month is what I'm asking.
Jaykumar Shah: So, 20 million is the life -to-date customers that we have, right? That is the overall customer s.
Shubhranshu Mishra: How many do we bank on a monthly basis? How many NACH presentations on a monthly basis out of the 20 million?
Jaykumar Shah: So, I think, let me come back to you on that one , right ? As I said, overall, from a banking point of view, we bank all our customers. In specific, in terms of the breakup, I think we'll look into it and come back.

Shubhranshu Mishra: Thank you.
Moderator: Thank you. Our next question comes from the line of Pranuj from JP Morgan . Please go ahead.
Pranuj: Hello. Thank you for taking my question. So, coming back to the CV bit of it, I think you commented on what is driving the volume slowdown. But if I come back to the asset quality in terms of operator profitability, can you give us some sense of how do you expect it to move? Because you did allude to the point that the cost of ownersh ip has materially gone up over the last few years, while freight rates may not have kept up pace with that. They move more in line with the diesel moment. So, like any outlook on operator profitability and vehicle utilization levels, and what gives you the confidence that this could improve in the coming quarters? Thank you.
G Ramesh: So, the bulk of our customers are relatively small transporters, right? I mean, typically a vehicle or two. I think their business model is fairly independent of how fleets an d large operators work.
So, these are essentially jobbers or people picking up loads locally. They have tie -ups locally with people and they're working through moving the goods from one place to another, either within a district or within a state. Our expo sure to large fleets is quite small. So, in these businesses, it's not really a cost per kilometer, but it's more availability. It's typically a per trip

or per project kind of pricing that these businesses work on, and not really a cost per kilometer kind of model. So, to that extent, it's a fairly different model that -- of customer that we work with. I mean, our exposure to fleets and those kind of customers who work on large contracts is quite small. I mean, that's really how we think about it.

Pranuj: But are you observing any impact on -- are you observing that operator profitability is getting adversely impacted in for these small road transport operators because the cost of vehicles have moved up? And also on the -- you also said it depends on the a vailability of trips. So, on the vehicle utilization front, on a Y-o-Y basis, are you noticing any improvements happening?

Jaykumar Shah: So, Pra nuj, as Ramesh mentioned, our book is very granular. It's slightly different to the segment I believe you may b e looking at in terms of, large operators. I think what we can do is we can connect offline to maybe understand better, and you can connect with our IR team, and then we can take it forward. Okay?

Pranuj: Sure. Thank you.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global . Please go ahead.

Avinash Singh: Yes. Hi. Good evening. Thanks for the opportunity. A couple of questions. The first one is again coming to that, your asset quality or credit cost. I mean, of course, you alluded partly to the seasonality of Q1, but I mean, if we were to look numbers since March 2024, quarter -by-quarter, I mean, the gross NPAs have gone up, and credit cost also inched up .

So, overall, I mean, where do you see, I mean, given that your customer mix, your business segments, at what time, I mean, or like at what levels do you think it's going

to peak out? Because the question i s that, okay, now, I mean, of course, March ’24, a pretty low level of credit cost. Now, we are nearing 2.5% . So at what point, I mean, given the macro scenario or particular to your business strategy, where do you see th ese peaking out? Because this is not typical seasonality, because even if you look at quarter -on-quarter, it has been just inching up over the last five -odd quarters. So, at what level, I mean, do you start to see sort of that, okay, that has peaked out and it should improve? That's one.

Second, if I, of course, you partly, I guess, touched upon this question, if you look at your profitability matrix at the end of the day, I mean, right now, it's a bit subpar. Now, what would be the kind of your realistic goal in terms of ROAs and improvement from here? I mean, if you can just break it down into what kind of improvement you expect from NIM and what kind of expectation, I mean, improvement expectation is from credit cost, because, I mean, given your kind of a business model, Opex will not likel y see much improvement. So, how -- what kind of improvement do you see in terms of NIM and credit cost? And what is sort of your target ROA, if one can say? Thanks.

Jaykumar Shah: Thanks a lot, Avinash. So, Avinash, a couple of things . NPAs, in terms of where we are, if you see our last couple of quarters, it's been -- in terms of credit cost, it's stabilized. Overall, the question around peaking, etc ., it's a lot more of how the overall economy functions and how economic activity moves , right? And I wouldn't want to double guess something, but most people that I talk to seem to be more optimistic in terms of how the next couple of quarters will play out and move forward. So, let's hope and let's work from there in terms of the overall economic activity in the country and things moving from there. So, that's one.

In terms of profitability and moving forward, a couple of things we mentioned to a question which came earlier from one of your colleagues was that on the NIM side, the benefits of our rate reduction, which has happened on the repo side, hasn't really come through. So, that we see coming through from Q2 onwards.

And the other important thing . So, a couple of things you look at in that mix, 77%, almost 75 %-76% of our book is large ly secured and is also fixed rate, right? Very important. Whereas today we've taken some benefit and if you look at last quarter versus this quarter, our bank borrowings, which are completely EBL R linked, have increased. So, we've taken some benefits there and that should help us in terms of the overall profitability.

Second component, as I mentioned, on the asset quality side, as things start to improve, the credit cost moderates. Both those are key parameters in terms of the NIM and credit cost and that should play itself out in terms of ROA improvement.

Avinash Singh: Okay, thank you.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Shweta from Elara Securities. Please go ahead.

Shweta: Thank you, sir, for the opportunity and congratulations on the first quarterly earnings. Three questions from my side.
Sir, while you alluded to the fact that not all woes are behind an unsecured loan, what is your assessment of the new book behavior formation? And I'm also coming from the fact that considering stage two, stage three, year -on-year basis have seen stark spike. Of course, you have attributed this to persistent CV weakness, but then any particular portfolio dominating the stage two spike? Second, ju st a related question, any legacy /pandemic -led challenges, assets lingering in Stage 2 or Stage 3?
And third question, what is your AUM growth guidance and what are the levers considering there has been, again stark change in disbursement mix for t

his par ticular quarter sequential basis? Thank you.
Jaykumar Shah: So Shweta, a couple of things. In terms of the new book behavior on unsecured, as I mentioned, things have stabilized over the last few months and we're watching it closely to make sure it's sustainable and take it forward from there.
In terms of the spike in the delinquencies of Stage two as such, has come through on the CV side, as Ramesh alluded to earlier as well, and we're very hopeful that things move through in the right direction, which is what is expected. In terms of legacy, we don't have any legacy issues as such.
In terms o f guidance, we have basically a policy of not providing guidance as such, so I'll keep it at that. And we look at the overall economic growth as the primary indicator in terms of how things move forward.
Shweta: Thank you. That's very helpful.
Moderator: Thank you. Our next question comes from the line of Piran from CLSA. Please go ahead.
Piran: Just a couple of questions on your liability side …
Moderator: Sorry to interrupt sir. Your line is not clear.
Piran: Yes. Hi. So just congratulations, firstly. Secondly, some questions on your liability side. So when it comes to bank borrowings, what's the mix between MCLR and repo -linked or T -bill-linked borrowings?
Jaykumar Shah: So, 90 %+ or 95 % of our entire borrowings is EBLR -linked.
Piran: Okay. And, when yo ur bank lines are coming up for renewal, are banks now, taking an additional spread? Let's say repo's down 100 bps, they can't afford it. Are they increasing the spread by, say, 25 bps or whatever? Or is it the same spread over repo?
Jaykumar Shah: This is something we work through with each of our banking partners. And we have very long -term relationships with all our banks whom we work through.

Piran: Okay. Let me ask you another way. Is it fair to say that the EBLR book sustainably re -prices downwards by 100 bps? Are you confident of that?
Jaykumar Shah: The EBLR book surely re -prices in line with the markets. Okay.
Piran: Okay. Fair enough. Yes . Thank you so much.
Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from Yes Securit ies. Please go ahead.
Rajiv Mehta: No, I think my question is partially answered. But just one thing in terms of, in the current environment when the asset quality trends are not very supportive , in CV – what will be our growth approach? Are we cutting bac k or I mean, are we not taking our earlier share of volumes at the dealerships? Or is there any change in our approach of business in CV or any other product? Or have we changed, maybe our filters or policies, which will kind of slightly moderate our growth further in the coming few quarters? And as a response to the asset quality, what is happening here?
Jaykumar Shah: So, Rajiv, again, it's something that we look through very holistically, obviously, at the ground, there'll be granular strategies on various products, sub -segments, etc. The main focus on the CV business as a whole, one thing that Ramesh, did mention that we're also looking at, doing more of used as, you know, a strategic piece. And we'll work from there.
Rajiv Mehta: Sure, sir. Thank y ou.
Jaykumar Shah: Thank you.
Moderator: Thank you. Our next question comes from the line of Bhuvnesh Garg from Magma Ventures . Please go ahead.
Bhuvnesh Garg: Just a couple of questions. Firstly, on your provisioning coverage. So if I look at on Y-o-Y basis, Stage 1 coverage has gone down from say 2% to 1.5%. And similarly, Stage 2 coverage has gone down, Stage 3 has gone down. So just want to understand, is there any policy change or is it or what is what is driving th is changing provisioning level?

Jayku mar Shah: Thanks a lot, Bhuvnesh. So if you look at our overall provisions, the way I'd like you to look at it is on the book, we had a 3.3% pr

ovision. Today, also, we had a 3.3% from March to June.
PCRs have remained a constant or actually, slightly inche d up . Our book is very granular, Bhuvnesh, and a lot depends on the book mix in terms of which product moves in which fashion. We follow a consistent model. And, things could move a little bit in terms of different stages as well. So we don't have any larg e assets, as I mentioned, our top 20 borrowers is 0.32%. That's how I would want to look at it.
Bhuvnesh Garg: Yes, I understand that on Q -o-Q basis, there is not much change, but on Y -o-Y basis, for example, June '24, versus June '25. So that shift is quite significant across the buckets. So just want to know if there is an y policy change on yearly basis?

Jaykumar Shah: So I think, as I mentioned, overall, the way I would want you to look at it is more Q -o-Q because, we have moved in the overall economy over the last 12 months. And what would be best in terms of, a credit comparison, our overall PD, LGD that etc., would be a March to June would be a better comparison.
Bhuvnesh Garg: Okay, understood. And just a second question on your asset quality. So if I look at your segmental asset quality from your annual report disclosure, it seems that we have seen sharper deterioration in GNP A, Vehicle Finance NPA compared to peers. And even for last 3, 4 years, our asset quality performance in Vehicle Finance seems to be lagging the peers. So what is the reason for this? And is it a product specific? Is it geography specific? Or what and what changes are you making to improve this pe rformance?
Jaykumar Shah: So I think we alluded to earlier in the call that there has been weakness in the CV segment. Right ? And, I mean, in terms of the higher, stress in the book, we're very seized of that opportunity in terms of work in progress that w e're working on.
Bhuvnesh Garg: Oh, fine. That's it from my side. Thank you.
Jaykumar Shah: Thank you so much.
Moderator: Thank you. Ladies and gentlemen, we are at the end of the allotted time. I now hand the conference over to Mr. Jaykumar Shah for closi ng comments.
Jaykumar Shah: Thank you very much. Really appreciate all of you taking the time today to hear us out. And thank you. Thank you so much.
Moderator: Thank you. On behalf of HDB Financial Services, that concludes this confe rence. Thank you for joining us, y ou may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

Call: Oct 2025

(no extractable text — likely a scanned image PDF)

Call: Jan 2026

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HDB/SLC/2026/1435

January 20, 2026

To,
Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, Block G,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400051

Scrip Code: HDBFS To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400001

Scrip Code: 544429

Sub.: Transcript of Earnings Call for the quarter ended December 31, 2025

Dear Sir / Madam,

In continuation to our letter dated January 14, 2026, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requireme nts) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on January 14, 20 26, in relation to the Unaudited Standalone Financial Results of the Company for the quarter and nine-months ended Dece mber 31, 2025, has been made available on the website of the Company at the below link:

https://www.hdbfs.com/investors

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal
Company Secretary and Compliance Officer
Membership No. F11340

Encl.: As above

HDB Financial Services Limited
Q3 FY26 Earnings Conference Call Transcript

For the Earnings Call held on January 14, 2026 , 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO
MR. JAYKUMAR SHAH – CFO

Moderator : Ladies and gentlemen, good day and welcome to the Q3FY26 Earnings Conference Call hosted by HDB Financial Services. Please note, this conference call is only for analysts and investors and not for media. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and the n '0' on your touchtone phone.
I now hand the conference over to Mr. Jay kumar Shah, CFO of HDB Financial Services. Thank you and over to you, Mr. Jay kumar.
Jaykumar Shah: Thank you so much, Sagar. Good evening to all of you. I welcome you all to the Q3 FY26 earnings call of HDB Financial Services Limited. We have with us our MD and CEO, Mr. G. Ramesh, along with myself and the senior managem ent team of the company.
I hope all of you would have had a chance to produce our financial results, the investor presentation and press release which has been filed with the stock exchange earlier this evening and also available on our website www.hdbfs. com.
We will start with management remarks and then open up the call for Q&A. The audio recording of this call will also be available on our website shortly after the call ends.
I would now request our MD and CEO, Mr. G. Ramesh, for his opening remarks, following which I will provide a brief on the financial results and then answer Q&A.
G. Ramesh: Thank you, Jay kumar and a very good evening to all of you joining in and wish you a Happy New Year 2026 and greetings of the harvest festival.
Briefly on the macros , consumption growth remains strong during the festive season and positive for the quarter. Broad -based set of measures in fiscal and monetary policy, supported by expected good winter harvest, bodes well for the domestic demand. Real GDP growth show ed resilience amidst global headwinds, even as inflation stayed benign in the festive season. Global uncertainties around geopolitical tensions and trade remain a key monitor able.
Coming to quarterly business updates
At an organizational level , our missi on is to serve aspirational India and we now have a franchise of over 22 million customers and a pan -India network of 1 ,744 branches spread across 1 ,165 towns and cities.
Disbursement for Q3, which is the October to December period, clocked in at an all -time high of ■17,917 crores. It grew by 15% Q-o-Q, led by the Consumer Finance segment followed by the asset -backed businesses. Book growth came in at 2.8% in the same perio d.

Our yield improved on the back of our efforts at balancing product mix through focused origination. NIM for the quarter increased to 8.1%.
As you may know , there have been a set of notifications on new labo ur codes that did impact our provisions in te rms of gratuity and other things , CFO will talk in more detail. So, adjusted for that one -time impact which we have taken in Q3 , opex continued to be within the expected range.
Our asset quality at stage 1 has improved to 95.22%. Our reported PAT for Q3 grew by 36% Y-

o-Y. Excluding the impact of the new labo ur code, which is a one -time provision that we made in Q3, our PAT grew by 45% , if you look at comparable numbers.
Coming to segment -wise commentary
On Enterprise lending : LAP and Enterprise Business Loan which is a variati

on of our LAP
product , grew moderately in Q3. Gold loans book grew by 17.8% Q-o-Q.
Portfolio quality on unsecured business, which we had called out a couple of quarters back, has stabilized. As asset qua lity pressure eases further, we expect to return to a growth trajectory in the coming quarters.
On Asset Finance : CV and CE book showed moderate growth in Q3. Asset quality challenges that we had called out in H1 showed signs of improvement in Q3 in the early buckets.
We anticipate further positive momentum in both the businesses on the back of infrastructure push and improving rural economy.
On Consumer Finan ce: Book for this segment grew by 17.3% Q-o-Q. This was led by Auto, 2-wheeler and Consumer Durables. Festive season surge, pent -up demand and market response to GST cuts fuelled growth. We expect momentum to continue in the segment going forward.
Jaykumar, would you like to update on the financials?
Jaykumar Shah: Thank you, Ramesh.
Moving on to the financial performance for the quarter ,
■ Customer franchise grew to 22 million, which is an increase of 4.8% sequentially and 19.3% Y-o-Y
■ The total gross loan book, as on December 31, 2025, stood at ■ 1,14,577 crores, growing 2.8% sequentially and 12.2% Y -o-Y. Secured loans of the total amount consisted of 74%
■ Disbursements for the quarter ended December 31, 2025, for ■17,917 crores, up 14.9 % sequentially, an all -time high for the franchise
■ Branch count stood at 1 ,744 spread across 1 ,165 cities and towns
■ Net interest income for the quarter was ■2,285 crores, an increase of 4.2% Q-o-Q and 22.1% Y-o-Y

■ Net interest margin, NIM, for Q3FY26 improved to 8.09% vs. 7.95% for Q2FY26 and 7.46% in Q3FY25

Moving on to expenses, I'll just elaborate little bit on the labour code. Effective November 21, 2025, the Government of India notified the four labour codes – the Code of Wages 2019, Industrial Relations Code 2020, the Code of Social Security 2020, and the Occupational Safety, Health and Working Conditions Code 2020, collectively referred to as the 'New Labour Codes', consolidating 29 existing labour laws. Th e Ministry of Labour and Employment has published draft Central Rules and FAQ on December 30, 2025, to facilitate assessment of the financial impact arising from these regulatory changes. Under IND-AS 19, which is our accounting standards that we follow , changes to Employee Benefit Plans arising from the new labour codes constitute plan amendments and they are required to be treated as past service costs and recognized as an expense in the Statement of Profit and Loss. Accordingly, the new labour codes have resulted in an estimated increase in provision for Employee Benefit Expenses of ■60.52 crores and the same has been recognized under the head Employee Benefit Expenses in the quarter and the nine months ended December 31, 2025. The company continues to monitor the finalization of Central/State Rules and clarifications from the Governme nt on other aspects of the labour code and would provide appropriate accounting treatment on the basis of such developments as needed in the coming quarters.
Of the overall impact of ■61 crores – ■56 crores pertains to the lending business. The P&L ratios that we call out for the lending business, I will be calling them out after excluding this one -time impact of ■56 crores to make sure they are comparable.

■ Cost-to-income ratio for our lending business reduced to 39.5% in Q3FY26 as compared to 40.7% in Q2FY26 and 42.5% in Q3FY25. The ratio was 40.9% for the nine months ended December 31, 2025 as compared to 42.8% for the nine months ended December 31, 2024. Cost -to-asset excluding the one -time impact was flat at 3.7%
■ Pre-Provisioning Operating Profit for the quarter was ■1,611 crores as against ■1,502 crores for the prior quarter
■ Credit cost for the quarter was

■712 crores as compared to ■748 crores for the prior quarter
■ Reported profit after tax for the quarter ended December 31, 2025 was ■644 crores as

compared to ■581 crores for the prior quarter. Excluding the one -time impact on account of the new labour codes, profit after tax for the quarter ended December 31, 2025 was ■686 crores, a growth of 18% Q-o-Q

■ Gross Stage 3 as at December 31, 2025 was 2.81%, similar to the number that we had as at September 30, 2025

■ Provision for coverage as on December 31, 2025 for Stage 3 stood at 55.59%

■ RoA (annualized) for the quarter ended December 31, 2025 stood at 2.35% and for the nine months was at 2 .15%

■ RoE (annualized) for the quarter ended December 31, 2025 stood at 13.99%

■ Earnings per share for the quarter was ■7.8 and book value per share stood at ■239.0

■ Our borrowing mix remains well diversified with a positive cumulative mismatch across all bu ckets up to five years

■ We remain well capitalized with a total capital adequacy of 21.81% as at December 31, 2025.

This ends my detailed update on the financials. We now request Sagar to open up the queue for questions. Thank you.

Moderator: Our first question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Good evening, sir. Thank you for taking my questions . So just two things. First thing is during your opening remarks, you spoke about weakness in CV and CE that we have been seeing for the last few quarters getting better in the second half. So if you could just elaborate on that and also the fact that MSME was showing us some pain, the unsecured MSME in particular. So where is it trending now? Because I see that the enterprise segment is still kind of trending a little weak.

And then the second question I had was on Vehicle Finance. I see that Asset Finance disbursements have grown by about 4% Y -o-Y. So if you could just split this up into what was the volume and the value growth ?

And lastly, now that the festive season and the GST cuts are behind, if you could just help us understand which segments have seen the demand momentum continue in December and January? And which all segments are you s eeing that the demand has already started tapering off? Basically, whatever pent -up demand or bump in the demand that we saw after the GST rate cut. Those were the few questions I had. Thank you.

Jaykumar Shah: I'll try and address them, Abhijit. So first one being weakness in CV and CE. So this was something that Ramesh mentioned at the beginning. That is something we called out in Q1 and Q2. And we had mentioned that we expect it to stabilize in the current quarter, which is Q3 and we have actually seen t hat. So it's a part of two stages , kind of two stories. One is on the 90 +, where we have seen it stabilize. There is some more work to be done, where we bring that down further. And that's one of the reasons why you see the Gross Stage 3 at 2.8%. What has been very positive in the current quarter is that we have managed to pull back from the delinquent book into Stage 1 , and our 0 DPDs across all products actually inching up in a good way. So that's been the positive side for us.

With the unsecured SME pain that was there for the last five to six quarters, if I can put it that way, that has clearly started easing off. The book, as you would have seen in the investor deck, has actually reduced slightly by almost 1%. But there, the health of the book has actually improved. So we're seeing it very positively. We need to start pushing hard into that space and growing from here on. It will take some time as we've taken five – six quarters to really make sure a lot of things fall in place. In a couple of quart ers, we should see growth come back on that.

In terms of vehicle financing value vs average ticket size, as you put it, there has

been a slight
reduction in the ticket size of approximately 5%, if I can put it that way. And the balance has

really been gro wth on the business front. And October especially, if I could call out in specific as the festive season, really covered up for a lot of September gaps and then it has been positive since. So we expect that to range in the positive territory and grow from here on.

Moderator: Thank you. Our next question comes from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah : Yeah, hi. Thanks for the opportunity. I have two questions. One is on the growth front, if you can help us understand , while I think disbursement growth has started showing signs of pickup, of course, festive season, some bit of offset on the ticket size front , but book growth is still, I would say, a bit softer. So what could be the horizon over which we intend to kind o f reach, say, an 18 % to 20% kind of book growth or medium term target, which is there?

And the second question is with regards to the opex . What is the, I would say, the BAU impact of the labo ur code? I understand there is a one -time impact of the histori cal provisioning. But on a BAU basis, what would be the kind of impact of it? Is it material at all? Those are my two questions.

Jaykumar Shah: So on the disbursement to book, the way I would look at it, Viral, is that look at it in the context of how we'v e grown, right? So we've actually grown 15% Q-o-Q on disbursements, and that's the most positive thing. On the book, the way it ranges is as you've seen, we've held on to our yields. And as we've held on to our yields in certain businesses, prepayments als o happen. Plus, the whole pullback that we've done in terms of recoveries, which has been very positive on the stage 2 book, right, or the stage 1+ book, that has also gone into this calculation. So the way I look at it is we're fairly confident in terms o f how we'd grow from here on.

In terms of 18 % to 20%, the way we've always looked at it, Viral, is the nominal GDP plus 6 to 7. And overall, the thought process does not change. We believe growth will start kicking in from here on, and it should be in more positive range from where we stand today. Second one …

Viral Shah: Just on this follow up on the growth piece that you mentioned on the nominal front, do you think with the competitive intensity likely to increase with many players receiving growth, a significant growth funding in the form of equity, does that change any of this, the competitive scenario on the growth front as well? From a medium term perspective?

Jaykumar Shah: I don't think so. At this point in time, we believe the market is there for us to grow for the next coming 3 to 5 years for sure, if not the next 10 to 15 years. On your second question on opex and BAU impact of the labo ur code, the way I would see is that, as I mentioned, it's a developing area. From what we were aware of based on the draft rules, what information we've had, we've taken a provision as of now. Let this space develop over the coming months. And let us get finality. Then it would be better for us to comment on this.

Viral Shah: Got it, sir. Thank you.

Jaykumar Shah: Thank you.

Moderator: Thank you. Your next question comes from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : I was just looking at your cost of borrowings, and that's almost flat on a sequential basis. So if you could give some colo ur in terms of where are we placed in terms of repricing or do we expect this kind of ratio to remain at these levels going forward? And in that backdrop, how do we really think about margins? I know you commented on the competition pa rt, but maybe if you could give some colo ur in terms of how do you expect the near -term product

mix to sort of
change your yields and trajectory on cost of borrowings?

Jaykumar Shah: Yeah. So let me address the cost of borrowings first, Nischint . On the co st of borrowing s side, as I had mentioned, I think in the last call, we were largely done with maximum of the repricing. What we have looked at is I think the cost of borrowing is reduced by 2 to 3 bps approximately on the whole. And what we've been contin uously doing is making sure we look at the right products within the basket, whether it is NCDs, whether it is term loans, to make sure we borrow on a product that we are able to sustain the current borrowing cost. The way we look at it is we believe that the current borrowing cost should sustain at least for the coming few quarters. Obviously, there's a lot more at play outside of HDB, which affects the overall bond yields and the market. So we'll have to watch that space closely. But for the coming at lea st couple of quarters, we expect to be in that range. And i f opportunities lend or opportunities come our way, then we should be able to improve it by a few bps as well.

On the yield side, as I had mentioned in the last call, we expect the NIM to range ge nerally in the 7.9 to 8. It is 8.09 currently. As we go into Q4 and the overall markets are there, there is pressure obviously on yields across products. We've done well as a business to hold on to our yields. We expect again that to be range bound at leas t for the coming few quarters in the range of 5 to 10 bps, not a lot more varian ce from there. So we should be able to hold on to our NIMs in the region of 8 as we had mentioned.

Nischint Chawathe: Got it. And anything to read in the decline in gross stage 2 loans?

Jaykumar Shah: As I said, it was positive. It's been good recovery, be it Enterprise Lending, be it Asset Finance, be it Consumer Finance. I think across the board, the strategies that the teams put in have started to show. I wouldn't sa y hope would be the wrong word. I think it's the confidence that the teams are driving into the market of going and doing positive recoveries and making sure the flow forward is reduced. The key for our business really in retail is to make sure flow forward is reduced. And that's been the key focus of how we are going about things. So that's a big positive for how we look at the business and plan for the future.

Nischint Chawathe: Thank you. Those were my questions , and all the best.
Jaykumar Shah: Thank you so much.
Moderator: Thank you. Your next question comes from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer : Yes, sorry. I had logged out of the queue. My questions have been answered. Thank you.

Moderator: Thank you. Your next question comes from the line of Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani: Yeah, hi. Thank you for the opportunity. I have two questions. First is a follow up on the reduction in ticket size in the vehicle book that y ou spoke about of about 5%. So I just want to understand some reduction would be there because the GST cut and the price of the vehicle is lesser, so the loan size is lesser, etc. But have you seen de -premiumi sation of cars? So in a sense that after GST cu t, have you seen more sales of the entry level cars versus what was happening earlier? Or any other colo ur around what has happened in the sales of the car segment?
And my second is on the net slippages. So the trend, past two quarters were elevated. The trend is quite a significant improvement in this quarter. But whatever is still slipping, I think, would it be majority CV /CE/MSME? Is there some colo ur you give around what book continues to slip at a slightly elevated rate versus the company average?
G. Ramesh: Right. Shreya, so when you look at the entire GST and look at our business, there are primarily two areas where the GST

cut has had a significant impact. One is the auto loans business and second is the 2-wheel er loans business. Construction equipm ent is always at 18% GST, mobile phones and entry level consumer durables are always at 18% GST. High -end televisions, which were at a higher GST rate, have come down to 18%.
So the bulk of our business really has had no impact on because GST rate cut, ot her than the fact that it's driven positive sentiment in the market. So within 2-wheelers and auto loans, we have seen about a 5% reduction in our average ticket size because the vehicle prices itself have come down. Also, I think a couple of manufacturers have cut prices of some of the entry level vehicles that they're selling as a festive offer. So that's also driven sales in the entry level segments. So I won't call it de -premiumi sation, which would suggest that a customer could afford to buy something m ore and has actually bought something cheaper. In fact, we are running a campaign called “Do Se Bhale Chaar” – basically to say that, why buy a 2-wheeler when you can buy a car? In fact, some of the cars are priced at the same level as seven years ago in some of the entry level segments. So I think it's a lot more customers who have now found that the product is affordable. There's no de -premiumi sation in our view. In fact, in consumer durable segment, where other than high -end televisions, there's no impa ct of GST, we're not seeing a reduction in ticket size.
Jaykumar Shah: On the net slippages, Shreya, you're right. A large part of it has just been in the CV /CE segment. Outside of that, slippages have come down. And that's very positive, as I mentioned. W e should hopefully see slippages in these two products also start to become lower.
Shreya Shivani: So just to follow up on the CV /CE, there was some cyclones down south. Do these events have some lagging / have some problems or do they create some issues fo r you all?
G. Ramesh: So typically, Q2 as a season is slow because of monsoon. So deployment of assets comes down. So let's say a vehicle runs 200 kilometres a day for 20 days. During monsoon, that number might come down about 150, 160, because vehicles run slower when it's raining a lot. But specific

events, specifically, I don't think there's been any impact of cyclone in the south that we can attribute to our portfolio.
Shreya Shivani: Sure. Thank you. This is very useful. All the best. Thank you.
G. Ramesh: Thank you.
Moderator: Thank you. The next question comes from the line of Prithviraj Patil from Investec. Please go ahead.
Prithviraj Patil: So I had two questions. So the first one was on the strong fee income growth that we've seen on the book. So if you could just throw some clarity on why that has happened. And then the second is that the branch count has reduced Q-o-Q. So will this impact growth going forward or how are we looking at that? Thanks.
G. Ramesh: Yeah. So fee income is primarily driven by the product mix and with the 15% disbursement growth and the product mix, there's been an increase in fee income. So in terms of branch count, there are branches that we wil l sort of review at the end of some time to see whether they are viable, whether they met their milestones that we set out for them. So there'll be branches that

we relocate. So given that, given the nature of our business and given our processes, it's qui te, we can take these decisions quite quickly. So if a branch is not doing well, we can shut it and move on, or we relocate the branch. There are also cases where we increase the branch sizes, right, based on the business volume, which really don't come in the numbers count.
What I think essentially on making sure that we are servicing a large part of the country. So in terms of the pin code coverage, how many pin codes are we covering effectively? Can we cover

the branches or a larger geography around the branch effectively without, you know, without compromising our credit policies. So, you know, don't read too much into the number of branches per se , it will always be here 5 or 10 . There'll be some small branches that we started off a year ago, hasn't met the milestone, either we're not comfortable with the credit quality of the market, or we overestimated the potential of the market, or, you know, factors are not exactly supporting growth. We would just relocate the branch and, you know, focus our effo rts on branches that are doing well.
Prithviraj Patil: Thank you. Just a follow up question, if you could give clarity on the ARC transaction as well, if you can tell what book have we sold off to the ARCs? And do we see any incremental sell off happening to ARCs in the coming quarters?
Jaykumar Shah: Yeah, so what we do generally is we only look at, you know, very dated write off portfolios, right? Where, say, let's take an example where you have very small, smaller ticket, relatively smaller ticket LAP book or CD book, where our ability or the cost that we would potentially incur to recover that money over a long period of time is X, and we believe today, you know, what we would recover is what we can get back in cash from the ARC transaction , we look at that as a value transaction, and we go and complete that. And that's exactly what we've done, you know, for a small piece of the NPA portfolio that you've seen in the disclosure. You know, that is what we've done. So it's a small piece, we always look at, y ou know, cost benefit analysis and everything that we do, to make sure we free up resources for better deployment in future.

Prithviraj Patil: Sure, thanks. Thank you.
Moderator: Thank you. Your next question comes from the line of Bhaskar Basu from Jefferies . Please go ahead.
Bhaskar Basu: Yes, good evening. I had a couple of questions. Firstly, on the vehicle side. So this 4% disbursement growth, if you can kind of give some colo ur around how much was the drag from a price deflation there. And secon dly, when I look at the book, CV new seems to have grown sequentially by about 4% , while used CVs actually shrunk on a sequential basis. So is there anything playing out there? These are the two questions on the CV side.
And my last question is basically o n the Business Loan front, where so far you've tightened filters, and how far are you when you think you can start pushing growth again? That's all f rom my side .
Jaykumar Shah: So, Bhaskar, I'll cover it and if I missed something, I think there's a little bit of crack in the beginning. So I'll cover the questions. And if I miss something, please jump in. So , on the CV side, as you would have, you know, observed the whole market -wide, I think the reason why new is higher this quarter is primarily on account of the whole festive season , right? Festive sales were absolutely bumper. And I think that just took off completely on CV new. Obviously, in the festive CV used was a less sought after product, if I can put it that way. And plus, even the pricing clarity w asn't there for almost, you know, a couple of weeks or a month in the beginning. So I think that's the primary reason. Our overall objective over a period of time that we've quoted in the public domain that we would like to be more, you know, pushing towar ds ‘used’ to get to a 50-50 over the next 3 to 4 years does not change. In a particular quarter like this, or you know, when you look at March and generally, there's more of new sales push that comes. So, that's how I look at it. If you look at it on a 9-month level, it's more balanced. On a quarter wise, of course, as you rightly put, CV new has grown and CV used is slightly lower, but nothing more to read beyond the festive and the GST and you know, clarity on pricing, etc.

That's on CV.
On the Business Loan front, I think if you ask me on the credit side of it, quality, i.e. book health, I think they're good. The way we read into this is now we've got to push hard on the current parameters and grow our book. And that's something we're very focused on. But as we push in the same way across the country, it will take a couple of quarters in terms of moving that into positive territory and getting into growth. Obviously, there's a runoff that happens on the current book. As we push the new book in, the trend to reverse might take some time. But, you know, in terms of wanting to push and intent and credit being there available for us, all of those are there .
Bhaskar Basu: Okay . Just two follow ups there. One was a question which I'd asked actually, on the

disbu rsement side in CVs . How much was the drag from price deflation? Like you reported about 4% disbursement growth. Had it not been for the price, what would this be? Just a ballpark kind of sense. And secondly, just on the Business Loan, at this point of tim e, at a broader industry level, are you seeing unsecured business loan stress starting to kind of abate or stabilize, which will give you comfort to push the growth again?

Jaykumar Shah: I'll answer the second one first. Let me wait for the next 1 month to see how/what everybody says. I think it won't be fair on my part to comment on the whole industry. I haven't seen everybody's numbers.

Bhaskar Basu: Okay, okay.

Jaykumar Shah: On the price deflation side, I think it'd be fair to say it has been, you know, fairly small at this point in time for the quarter. We'll see how that goes. Yeah.

Bhaskar Basu: Okay. Thanks a lot. That's all f rom my side.

Jaykumar Shah: Thank you.

Moderator: Thank you. Your next question comes from the line of Raghav from Ambit Capi tal. Please go ahead.

Raghav: Sir, hi. Good evening and thanks for the opportunity. I have two questions. One, on your cost of borrowing s. So given the INR depreciation that has happened, and I think your exposure to ECBs is about 11% . Did you see your cos t of foreign borrowing go up during this quarter? Because despite the rate cuts coming through even in 3Q, the calculated cost of funds hasn't moved really . So that's my first question.

Jaykumar Shah: So on cost of borrowing, our entire ECB book is fully hedged. So there is zero impact. We treat it as a fixed product kind of a thing. As I mentioned earlier, there has been a slight reduction of a few bps. There are certain borrowings that obviously come in at current pricing or slightly higher as well. I'm sure all of you are very clued on to the market where rates have also hardened. While there was a rate cut which happened in December, that hasn't really translated much into lower cost of borrowing in most instances. In fact, the bond yields have only har dened at this point in time. That said, we continuously look at our entire borrowing book and work closely with all our partners to make sure it is the right base and the right pricing on a monthly basis.

Raghav: Okay. So, you know, even at the margin, the foreign borrowing – the cost of foreign borrowing remains attractive versus say the domestic borrowing. Is that a fair assumption or not?

Jaykumar Shah: So, if you ask me as at yesterday, there's a large newspaper article that got printed. Whoever has got money in 7 .28, obviously it's attractive. But outside of that window that the RBI gave, it's a little pricey from at least the way we look at it at this point in time.

Raghav: Thank you. My second question is on the CV Finance busi ness. I see that your disbursement growth in this business is about 4%. I'm assuming that's after the 5% decline in average value of the Vehicle Finance. But when I look at the volume growth for the industry, right, commercial vehicle retail sales

have bee n up 17% during the quarter. If I adjust that number by the same factor, say 5 %-6% decline in value, I am assuming that the disbursement growth for the CV industry would have been, for all financers collectively, would have been higher than the 4% for you? So is that the correct way to look at your disbursement number and is that comparison correct? I'm just trying to understand the comparative intensity in the Commercial Vehicle finance segment. So your thoughts will be useful here.

Jaykumar Shah: Yeah. So again, just making sure we're both on the same page. You're seeing the book number grow. Book obviously has a much larger base to it , right, Raghav? Our disbursements grew at a much faster pace, right, Q-o-Q. In fact, it's one of the higher ends of growth in terms of double - digit percentage. That effect coming onto the book is obviously comes over a period of time , because to give you an example, if you were to disburse a number of 3,000 , right, on a book of 30,000, that impact is 10% of that , right . So I don't think both the statements that you made are directly correlated. Obviously, there is a piece that comes through with disbursement growth, book will grow. In terms of the industry, I believe we're pretty much in there. There are certain segments that we may not have operated in more because we don't feel it drives value for us from a yield perspective. But outside of that, I think we're fairly in the zone with the larger industry.

Raghav: No, so I think my question was on the disbursement growth itself, which is, I think, 4% Y -o-Y. And then even when I look at it on a Q-o-Q basis, that's I think 15%, b ut let me take this question from you offline.

Jaykumar Shah: Sure.

Raghav : And can I as k one more question?
Jaykumar Shah: Sure.
Raghav : So just y our thoughts, some qualitative commentary on the asset quality in C V Finance segment. What are you seeing in terms of customers' ability to repay , fleet utilization, m aybe if you can share some numbers around c ollection efficiencies on the CV portfolio, that'll be very helpful? That's all from my side. Thank you.
Jaykumar Shah: Thanks, Raghav . So I'll give you a broader statement. We don't put ou t specific product -wise numbers. B ut on the broader side, as I mentioned at the beginning there are two sides to it for us. One is the 90 +/120+ book, which has remained in that similar zone and needs to be brought down. Second is the 90 minus if I can put it or the 1-90 book , where the efforts that were taken during the quarter, we were able to recover well . And second we've improved our 0 DPD by making sure delinquencies also reduce in the first instance. So the X bucket has helped. Overall, if I were to look at collection efficiencies or slippages, slippages have reduced a little bit from Q2 to Q3. They st ay at slightly elevated levels, which is where we want to really curb it down. So recoveries have improved. We believe as we go through the coming quarter and the next two quarters, we should be in a position to bring the book even more healthier from wher e it stands today, more towards a Q1 or a Q4 past, in terms of that line. That's at least the aim that we're working towards.
Raghav : Thank you.
Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global Financial Services. P lease go ahead.
Avinash Singh: Hi, thanks. So a couple of questions. The first one on your comment around margins, that it's around 8.1% towards the highe r end of your sort of guidance a nd you are preferring margin.

Does that m ean over the coming quarters, I mean this sort of margin will lead to a subpar or relatively lower growth than what you would have otherwise kind of thought like 18% - 20% range. Will this focus on margi

n leading to sort of a – margin -growth conundrum, you being on the lower side in growth? That's one.
And second, if sort of we were to look maybe for next financial year, given where the sort of your margins are probably topping already of the guided range, what sort of the improvement in credit cost depend ing upon the current rates you're seeing , that will help the R oA. I mean, because on the margin side, there's very little lever left. So what kind of a credit cost improvement do you expect in the next year? Thanks.
Jaykumar Shah: Thanks, Avinash. So two things. I don't think the margin piece impacts growth directly. Sorry, it does impact, but it doesn't in the sense that we believe we're in the right zone as far as our product mix goes. Plus, if you observe an important factor and thank you for the questi on, our secured book has actually gone up 50 bps from last quarter itself and almost 90 bps plus in the last two quarters. As the unsecured comes back, which is what we're focusing on, which is two segments for us, which is Relationship Personal Loans and the unsecured Business Loans. We believe that will also help us on the top line. That's one. Now, if that consistently comes through and rates remain as they are and they don't harden, we should be able to operate at a healthier margin. That's one .
Secondl y, in terms of helping on the R oA, you're right. With a stable book, our cost to income also we have managed it in a manner, sorry managed would be the wrong word , we've actually made sure we've taken efforts for it to come into the right zone of less than 40%. As the book grows, we should be able to pull back from a 3.7% to a slightly lower. Second important factor is the credit cost. Today, it is at around 2.5% a nd the endeavour is to move it towards what we had in the prior quarters and shave o ff some of a few bps from there. We'll see as we go along. The one thing I would want to leave with everybody that we're very committed to bringing that down a nd rather than give a number in specific, the focus is really to see how much can we do over the next coming quarters, which can stay in a consistent manner.
Avinash Singh: Yes. Thank you.
Moderator: Thank you. Your next question comes from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes. Hi, thanks for taking the question. So, a couple of ones. So, in terms of the average ticket size, when we look at it, in fact it's still going up compared to where we were in 2Q, particularly on Autos as well as 2-wheelers. So, maybe from 433, it's going up by a percent and 2-wheelers is go ing up by almost like 3%, 4% compared to where we were in 2Q. So, this is despite maybe the price cuts, which would have been there because of GST. So, how should we look at it? Maybe is it like a premiumi sation or focus on a higher ticket vehicle, which i s leading to a higher ATS?
Jaykumar Shah: The way I would look at it, Kunal, is I mean, it's a small number just now. The GST cuts have

come through, there has been fairly very good volumes that have happened during the festive on

the two wheeler side. I think that's an important one. And you've got to look at it in that perspective. Second is, if you look at our new business, as I mentioned earlier because of the festive actually grew more a nd whenever the new grows more, naturally you will have a higher ATS.
Kunal Shah: ATS is on account of new.
Jaykumar Shah: Yes.
Kunal Shah: Got it. And fair to assume that on the commercial vehicle side, there wouldn't have been an impact of GST even on the dis bursement side in terms of the – maybe the price cuts or maybe the overall, it's purely the volume linked which would b e there on the commercial side?
G. Ramesh : Yes, that's right.
Kunal Shah: Okay. Got it. And just on overall credit costs. So maybe just in the prior q

uestion you indicate
that you would want to shave it off, say a few basis points. But ideally, when we look at it this kind of a trend both on the Commercial Vehicle as well as on the MSME stabilizing, when should we ideally see it coming off and getting to maybe a steady sta te level? Would it be like another two, three quarters from here on or would it take slightly longer? How should we look at it? Obviously, there has been an improvement during the quarter. But in terms of the trajectory, should we see something similar for another two /three quarters or it stabilizes over here now?
Jaykumar Shah: The way we would want to look at it Kunal is that it stabilizes and improves quarter -on-quarter. Let's see, depending on the overall macro and the markets, how much can we improve o n a quarter -on-quarter basis.
See, the longer term, we'd like to operate, at least 10 to 15 bps or at least 20 bps lower than where we are today. Overall, that is where we would want to operate in the longer term. And in the medium term, try and get there faster than slower.
Kunal Shah: Okay, got it. Perfect. That helps. Thank you.
Moderator: Thank you. Our next question comes from the line of Jay from NBIE. Please go ahead.
Jay: Hi, sir. Good evening. Congrats on a good set of numbers. Sir, I have a question on term loans. Could you specify the split between EBLR and MCLR borrowing?
Jaykumar Shah: So we have a very small book on MCLR. Most of our bank borrowing on term loans is all EBLR based.
Jay: Okay. And what would be the share of HDFC Bank on ter m loans? Are we getting any support from the HDFC Bank on this side?
Jaykumar Shah: We borrow from HDFC Bank like any other large bank. We borrow 100% on, deeply scrutinized related party terms. There is absolutely no preference on either sides. That's the way I would put it. So it's very commercial terms. And it's not that, HDFC Bank puts in a lot more or a lot less. It's very, very transparent in the market that we operate.

Jay: Okay. Thank you. And so as we, as highlighted by the participants previously, could you just throw some light on how are the collections going on the CV side? Are you, are you seeing any green shoots there or is the pain still continues?
Jaykumar Shah: So I think Jay, I covered that already, happy to catch up later. Thanks.
Jay: Yeah. Thank you.
Moderator: Thank you. Your next question comes from the line of Sucrit D . Patil from Eyesight Fintrade Pvt Ltd . Please go ahead.
Sucrit D . Patil: Yeah. I have two questions. My first question is to Mr. Ramesh. As India's NBFC sector evolves with rising retail credit demand, Fintech partnerships and regulatory oversight, what structural shifts do you see shaping the company's competition over the nex t 2 to 3 years? Specifically, how are you preparing to differentiate beyond balance sheet growth, whether through digital first lending or customer lifecycle management or any risk analytics? Yes, I wo uld like to hear a view on this? This is my first quest ion. I'll ask my second question after this.
G. Ramesh: Okay. So, glad you asked me that question. I've been in the consumer lending industry for about 30 years now, which is pretty much the age of the consumer lending industry in India. I've worked in the consumer lending industry when there were no credit bureaus. So, in this industry, technology change is a given. It is not a one -off event. So that's something that we invest for continuously. So there's no end game as far as technology is concerned because technology itself is a moving train, right? And that's something that we need to adapt to on a continuous basis. We need to adapt to customer requirements on a continuous basis. And we need to adapt to our own business model on a conti nuous basis.

I think our business philosophy has been to address aspirational India, which i

s a very clear
segment that we identified as a growth driver for India and for our business. And our company has been focused on understanding what is it that this custome r needs through his or her lifecycle? And how do we address those needs effectively? So, which is why, over the last 15 years, we have, you know, developed a large product suite which addresses any need that the customer may have. And that's our whole product development philosophy is that how do we deliver customer needs profitably? So we don't have a hero product in the company which says that, oh, this will acquire the customer and then try to sell another product. For us, a customer irrespecti ve of the product he or she comes through is a hero.
We try and understand what is it that we can do effectively through their life cycle in terms of their own aspirations as individuals and as businesses, and how can we service that requirement effectivel y.
So whether it's investment in our processes, people, training, technology, or our mindset, it's an ongoing and continuous investment is how we think of our business. Your second question?
Sucrit D . Patil: Yeah, my second question is to Mr. Shah. Given the pressure from rising funding costs and the needs to invest in more tech -related platforms, how are you balancing near -term margin protection with longer -term investment that could structurally expand the profit ceiling? Are

there specific levers like l iability -mix optimization or operating efficiency or any particular fee - based kind of service that you see as margins expand beyond FY26? Thank you.
Jaykumar Shah: So let me give you my thoughts on this. I think the most important question that you asked m e that one, which is on the investment front, investing in technology. So the thought process that Ramesh has had right from day one is that is a necessity. Over the years, that is one area where while we obviously look at pricing everything that we acquir e and spend very reasonably, if I can use that word reasonably, there has never been a question mark if our CTO comes along and says, this is what we need to invest for future growth. I think we have not even stopped during COVID. So that is one area we wi ll absolutely continue to invest in. Whatever it takes, we will make sure we will carve out for the business to grow. It is our lifeline and we will continue to do that.
That said, across the company, the culture is extremely strong in how cost -conscious we are. The concept of an IRR on an investment is almost fed into every single person who comes along with an d ask for an investment. So we're very blessed in that fashion that the thought process right from bottom up is very positive on that front, t hat's how I would look at it.
Sucrit D. Patil: I think that's good guidance from your part and I wish the entire team best of luck for next quarter .
Moderator: Thank you. Your next question comes from the line of Chintan Shah from ICICI Securities. Please go ahead .
Chintan Shah: Yes. Hi. Thank you for the opportunity. So just one question on this new labo ur code. So I understand that the 61 impact is largely due to the re trospective impact. But going ahead, we see any recurring costs, employee costs, or will t hat…
Moderator: Sorry to interrupt. Chintan sir, your audio is modulated and it's not coming properly. If you can just use a handset if you're using a speaker mode.
Chintan Shah: So is it better now?
Jaykumar Shah: Yes, Chintan, I think I got your question. Let me try and address it and you can jump in again in case if I missed something. So the question was, do we expect something more to come out on the labo ur code? Right, h onestly, as I mentioned, I think that was a question that Viral asked at the beginning, if I'm not mistaken. It is a developing space today, within the finance community. The

understanding that we've had along with the guidance we've received, we've taken that ahead. Let's see how it develops over the next coming months. And the n we can talk about it more at the end of the year in terms of what the numbers are.
Chintan Shah: Got it, got it. Yeah, that's it from my side. Thank you.
G. Ramesh: I think just having said that, to the extent that we have clarifications, it's been full y provided for. To the extent that we have clarification on the labo ur codes. So we've not done a partial provision . To the extent that we have actuarial valuations and whatever , it's been fully provided for – it is ■61 crores at this point of time, y eah

Chintan Shah: Sure. Thank you.

Moderator: Thank you. Our next follow -up question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Jaykumar Shah : Sorry, Abhijit, we can't hear you. Sorry, Sagar, I don't think we can hear Abhijit .
Moderator: Due to the end of the allotted time, we would take that as a last question. I now hand the conference over to Mr. Jay kumar Shah for closing comments.
Jaykumar Shah: Thank you, Sagar. Thank you very much, everybody, for your time and patience. It's been a pleasure talking to all of you. Wishing you all a very happy festiv e season as Ramesh wished in the beginning. Have a good evening. Thank you very much.
Moderator: Thank you. On behalf of HD B Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

Call: Apr 2026

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HDB/SLC/2026 /1470

April 22, 2026

To,
Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051
Scrip Code: HDBFS To,
Listing Compliance Depar tment
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400001
Scrip Code: 544429

Dear Sir / Madam,

Sub.: Transcript of Earnings Call in relation to the Audited Standalone Financial R esults for the quarter and year ended March 31, 202 6

In continuation to our letter dated April 15, 2026 , we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on April 15 , 2026 , in relation to the Audited Standalone Financial Results of the Company for the quarter and year ended March 31, 2026 , has been made available on the website of the Company at the below link:

https://www.hdbfs.com/investors

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal
Company Secretary and Compliance Officer
Membership No. F11340

Encl.: As above

HDB Financial Services Limited
Q4 FY26 Earnings Conference Call Transcript

For the Earnings Call held on April 15 , 2026 , 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO
MR. JAYKUMAR SHAH – CFO

Moderator : Ladies and gentlemen, good day and welcome to the Q4FY26 Earnings Conference Call hosted by HDB Financial Services. Please note, this conference call is only for analysts and investors and not for media. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone.

I now hand the conference over to Mr. Jaykumar Shah, CFO of HDB Financial Services. Thank you and over to you, Mr. Jaykumar.

Jaykumar Shah : Thank you, Rutuja . A very good evening to all of you. I welcome you all to the Q4 earnings call of HDB Financial Services Limited. We have with us Mr. G Ramesh, MD and CEO, along with myself and the senior management team of the company.

I hope all of you would have had a chance to peruse our financial results, investor presentation, and the press release which has been filed with the stock exchange earlier today and also available on our website, www.hdbfs.com .

We will start with management remarks and then open up the call for Q&A. The audio recording for this call will also be available on our website shortly after the call ends.

I would now request our MD and CEO, Mr. G Ramesh, for his opening remarks, follow ing which I will provide a brief on the financial results and then open up the call for Q&A.

G Ramesh: Thank you, Jaykumar, and a very good evening to all of you who have joined us today.

As we exit Fiscal 2026, I will begin by highlighting a few key aspects of our performance that underscore our operational resilience and long -term trajectory. These represent our commitment to execute our mission of serving aspirational India and sets the stage for continued growth in the coming years.

First , our customer franchise expanded to 22.9 million, about 2.5x since 2022.

Second , our expansive distribution network now covers 1,161 towns and cities of India with 1.6 lakh + retail and dealer touchpoints. This is the physical distribution; we also have extensive digital presence.

Third , disbursements for Q4 FY26 was the highest quarterly disbursement by HDB, growing 11% as compared to Q3 FY26.

Fourth , book growth came in at 3.4% in the current quarter along with a marked improvement in asset quality, which sets the trajectory for our growth plans. We maintained the granularity of our 100% retail loan book with average exposure per customer of ~1.66 lakhs.

Fifth, robust operational execution with our pre -provisioning operating profit growing by 7.8% and PAT growing by 16.6% sequentially. On annual basis, our pre -provisioning operating profit grew by about 27%.

Sixth, on the credit and collections front , we had a significant improvement in asset quality across our products. Gross NPA, which we also report as Gross Stage 3 – we don't report two different numbers – reduced to 2.44% as at March 31, 2026 vs 2.81% as at December 31, 2025.

Coming to the macros :

Robust rural demand, sustained momentum in domestic economic activity, and supportive

policy measures augur well for the economy. Regulator kept policy rates unchanged and maintained a neutral stance.
Real GDP growth showed resil ience and inflation stayed benign. While GDP growth projections remain largely steady, the West Asia c

onflict and probable weather disruptions from El Niño
may have an impact on growth and inflation. Quick restoration of supply chains and timely conclusi on of the conflict remain a key monitorable.
We continue to track the rapidly evolving global situation and its potential impact on our business.
Coming to the vertical -wise commentary , as you may recollect, we run our business along three major business lines.
On Enterprise Lending : Q4 disbursement for the segment grew by about 28% sequentially and 15.4% Y-o-Y.
Our LAP + EBL book, which is our mortgage business, grew by 3.8% sequentially on the back of about 36% disbursement growth.
Our gold loan book doubled in FY 26 with 58.7% growth in disbursement Q-o-Q.
We expect positive momentum on our unsecured business loans going forward, where we have seen significant improvement in asset quality.
Collections and portfolio quality for this vertical has continue d to improve.
On Asset finance : Commercial Vehicle and Construction Equipment book showed moderate growth in Q4. We saw continued improvement in asset quality in our Commercial Vehicle business with both early buckets and Stage 3 improving.
Our focused approach within CV and CE segments, backed by our extensive OEM partnerships and dealership networks, positions us for strong growth in the coming quarters.

On Consumer finance , book for this segment grew by 5.3% Q-o-Q and 19.4% Y-o-Y. This was led by consumer durables followed by auto loans.
We expect momentum to continue in this segment on the back of sustained demand for consumer durables, auto loans, and 2-wheelers.
Overall , our customised suite of products enables us to provide credit to aspirational India. Our distribution touchpoints and digital sourcing channels ensure our reach across the country. Focus on digital sourcing channel through our DIY platform, which is do -it-yourself platf orm, helped us multiply our disbursements by ~2.2x in FY 26 and we expect this momentum to continue.
We have made significant investments in our technology capabilities , including AI, which have started yielding positive results for our cu stomers across our marketing, customer service, and collections functions.
■ One of our initial implementations is in collections through a scalable bot -based intervention for engaging customers who are in the early buckets. In Q4, over 50% of our customers who needed a nudge were assigned a bot, which resulted in improved collection efficiency of about 25 basis points in the early buckets. As I said, this is still an early stage and we see a lot of improvement going forward

■ On the customer service front, we implemented in -house SLM powered auto -sorting and saw 20% reduction in response times, ensuring faster resolution of customer queries.
We are currently running 5 large AI -powered business initiatives across the organ ization. We will continue to invest in technology to drive efficiencies.
With that, looking forward to a healthy FY 27 with a strong growth trajectory . I will now hand over to Jaykumar for an update on the financials.
Jaykumar Shah : Thank you, Ramesh.
Moving on to the financial performance for the quarter.
■ Customer franchise grew to 22.9 million with an increase of 4.3% sequentially and 19.7% Y-o-Y
■ Gross loan book as on March 31, 2026, stood at ■1,18,493 crores , growing 3.4% sequentially and 10.9% Y -o-Y. Secured loans comprised 74% of the gross loan book.
■ Disbursements for the quarter ended March 31, 2026, was ■19,922 crores , up 11.2 % sequentiall y – an all-time high, as Ramesh mentioned, for HDB
■ Branch count stood at 1,730 , spread across 1,161 cities and towns.
■ Net interest income for the quarter was ■2,399 crores , an increase of 5% Q -o-Q and 21.6% Y -o-Y; Net interest income for the year ended March 31, 2026, was ■8,968 crores , an increase of 20.4%

■ Net interest margin for Q4 FY26 was 8.23% vs 8.09% in Q3 FY26 and 7.55% in Q4FY25. Net interest margin for the year ended March 31, 2026 was 7.96% vs 7.56% for the year ended March 31, 2025
■ Cost-to-income ratio for our lending business was 39.5% in Q4 FY26 as compared to 41.6% in Q3 FY26 (if we were to compare it with after labo ur cost, that was 39.5% in Q3FY26 , so it's largely remained flat), and 42.9% in Q4 FY25. The ratio for the year ended March 31, 2026, was at 41.1% vs 42.8% in the prior year. Cost to assets for the year was at 3.8%
■ PPOP, which is Pre -Provisioning Operating Profit, for the quarter was at ■1,675 crores as against ■1,555 crores for the prior quarter, a growth of 7.8%.
■ Credit cost for the quarter stood at 2.35% as against 2.52% for the prior quarter.
■ Profit aft er tax for the quarter ended March 31, 2026, was ■751 crores as against ■644 crores for the prior quarter, a growth of 16.6%.
■ Gross Stage 3 as at March 31, 2026, was 2.44% as against 2.81% as at March 31, 2025.
■ Provision coverage on Stage 3 stood at 55.53%.
■ ROA (annualized) for the quarter ended March 31, 2026, stood at 2.48% and for FY26 stood at 2.19%
■ ROE (annualized) for the quarter ended March 31, 2026, stood at 14.83% and for FY26 stood at 13.94%
■ Earnings per share for the quarter was ■9.0 and the Book value stood at ■248.9
■ Our borrowing mix remains well diversified with a positive cumulative mismatch across all buckets up to five years.
■ We remain well capitalized with the total capital adequacy at 21.40% as at March 31, 2026.

We can now open up for Q&A and Rutuja, we will hand it over to you, to open up the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, good evening. Thank you for taking my question. And first of all, congratulations on a good quarter. That's exactly where my question is. That, while most of us know that…

Moderator: I'm so sorry to interrupt you, Mr. Tibrewal, but can you please check you r audio quality? It is sounding a little muffled, sir.

Abhijit Tibrewal: Is it better now?

Moderator: Yes, please go ahead.

Abhijit Tibrewal: So, sir, I mean, I said, I mean, congratulations on a good quarter. And that's, I think, where my question is. We kind of, almost all of us know that we did not see any impact of the war in the month of March. But if you could just help us understand, what is it that you started seeing maybe in the last week, 10 days of March? What is it that we've seen in the first 15 days of April? Because I think, I remember, I think, sir mentioned that quick resolution of the conflict

and restoration of supply chains remains a key monitorable . So, I mean, are we seeing sup ply chain disruptions? Are we seeing some impact on CV operators, particularly in the vehicle financing business? That is the first question that I wanted to understand.

Jaykumar Shah: Thanks, Abhijit. Let me cover it as a whole. I think it's important to look at it holistically. I think CV is a portion of our business. So, overall, March, while there have been talk in the market, I think March for us went well , and that's clearly reflected in our results. There has been clearly a concern and, you k now, we called it out in our opening address, Ramesh mentioned it, that the West Asia conflict remains a key monitorable. I believe the government is doing a reasonable amount of work to make sure that while there are pressures all across, they're trying to keep things as normal as possible. I think at this point in time, the way we would call it is that I think it remains a key monitorable. There are certain challenges, but we

remain focused on our growth from here on , and over the next 15 -20 days a s the situation develops, we will keep monitoring it closely.

Abhijit Tibrewal: Got it, sir. And then, sir, the second question I have is, while you spoke a little bit about the CV ecosystem, on the same side, we also have this MSME and the SME ecosystem, which we all believe and keep hearing and keep reading, could be one segment which could be vulnerable, if there are kind of supply chain disruptions, if the means of these MSME and SME customers get impacted because of the ongoing conflict. So, I mean, there, any thoughts and the related question is that, if at all you are seeing anything already in the month of April, was there any deliberation around building some contingency provisions or some buffer provision?

Jaykumar Shah: So, Abhijit, the way I would look at it is, the results are obviously as at March. And, we do continuously discuss as a business, because our business is pure retail. Right? So, at this point in time, we haven't seen any specific level two /level three impact coming through, i s the way I would put it. Again, I will, at the cost of repetition, the situation remains a key monitorable for us. As and when things develop, I think we will do the needful.

The one good thing is that, you know, across the years, I think we remain very strong in terms of making sure we have touchpoints on the ground. Across our LAP business, across MSME business, we have called it out in the past that we had challenges, we're over it, right? We called it out last quarter. We are completely over it as at the March quarter. And the whole focus now, on the ground , across enterprise lending business, across CV and across consumer finance is growth.

So that's the way I would put it and that's the way we would like, you know, our stakeholders, our people, our investors to work with us on the growth agenda. Obviously, if things change globally and things change on the ground and there's level two/level three impact, we're well positioned to deal with it.

Abhijit Tibrewal: Just a follow up on what you just answered. I mean, if I look at this year, I think we've reported around an 11% kind of a Y-o-Y growth in our loan book and we've seen momentum build in the second half of this fiscal year. And like you mentioned, right, the focus is on growth. So, I mean, how are we going to approach FY27? Let's keep this conflict aside for a bit , but if things were

to become much more peaceful than what it is today, what is it, how is it we are going to approach growth in the coming fiscal? That's all from my side. Thank you so much.

Jaykumar Shah: Thank you. So, the way I would look at it, Abhijit, is that we've always called out that in the medium term, over the three -year agenda that we have, we look at a Nominal GDP + 6% to 7% growth and we're very focused on making sure we deliver to that.

Abhijit Tibrewal: Yes, yes. That answers my question. Thank you so much and I wish you all the very best.

Jaykumar Shah: Thank you.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi, sir. Congrats on a good set of numbers. Sir, just couple of things, Jay, maybe slightly repetitive but please bear with me. So on the growth front, right, I mean, if we look at FY26 as a whole, you know, barring last maybe 45 days or two months, we are still on the lower side, which is sub -10%. Obviously, our growth aspiration has always been nominal plus 6% -7%. And now as you mentioned in your opening remarks as well that th e stress in CV or maybe unsecured PL is largely over. So how confident we are of achieving those aspirational growth numbers in FY27 - FY28?

Jaykumar Shah: Okay. So I'll just put numbers into perspective, Renish. Our Q2 disbursements were ■15,599 crores and it's on Slide 22 in case if

anybody wants to refer. Q3 was ■17,917 crores . Q4, we exited at ■19,922, right? And the clear aspiration from here on and the goal and the plan is to start delivering on this base and forward, right?

To be able to achieve our numbers, and we have plans in place, we've started April with the same level of vigor, the same level of conviction within our teams to be able to deliver on the growth agenda that we have.

The first step obviously in there is disburse ments. Some amount of math will play in, in terms of how much disbursement relates into how much book. What I would like the investor community to read into to begin with is the disbursements because as that starts growing and that starts resulting in the positive book, you will automatically see the movement towards what we want to deliver.

Renish: Okay. So you're trying to , let us say highlight that from Q1 onwards, the improving trajectory which we are witnessing in second half of FY 26 ideally will continue and that will obviously lead to the kind of growth we are looking for. I mean, is that the fair assumption?

Jaykumar Shah: Yes. And just to make sure we are on the same page, Q1 generally is slower, so I would compare Q1 to Q1 obviously, not Q1 to Q4 and say there is a 10% jump on Q4 to Q1. But obviously, there will be good amount of positivity that you will see or we expect to see from ourselves as well.

Renish: Got it. And secondly sir, I was just looking at the repayment rates and as pe r my calculation in enterprise lending, my repayment rate has jumped to 11%, which used to be average 9% on

quarterly basis. So just wanted to check, I mean, is that due to higher BT -out in LAP or is there a product mix change within enterprise lending, w hich is leading to higher repayment rate?
Jaykumar Shah: So maybe more a product mix thing. Today, we haven't seen anything odd in the month of March than what we see generally in March for LAP and EBL. The other thing as we have said and in the past and we continue to focus on is the risk -adjusted portfolio that we look at, right? And if you look at growth, right, the enterprise lending business genuinely grew at 20% +, right? Ramesh called it out in terms of the enterpri se lending business growth and that's a very positive thing , so Q4 disbursements grew 27.9% sequentially. And that's a very powerful statement for us in terms of our ability now to pump things in and move forward from here.
Moderator: I'm sorry to inter rupt. May we request Mr. Renish to please rejoin the queue?
Renish: Okay. Yes. Sure. Thank you, Jay.
Jaykumar Shah: Thank you.
Moderator: Thank you. The next question is from the line of Viral Shah from IIFL Capital. Please go ahead.
Viral Shah: Yes. Hi Ja y. First of all, congratulations on good set of numbers. First is with regards to the, I would say, the cost of funds and the margins. So in Jan, Jay, you had mentioned that now incrementally there is not meaningful scope and room for cost of fund reductio n. So just first wanted to understand what has resulted in this 35 bps improvement on a sequential basis? And more importantly, how should we look at it I would say going ahead, especially given the way the bond yields are? And even if say the war resolve s, some of that impact is going to be more lasting at an economy level. So how should we now look at it incrementally? So that's my first question. I'll come for the second question again after this.
Jaykumar Shah: Okay. So the way to look at NIMs and let me start holistically first, Viral. So if you look at NIMs – one of the biggest things , we have priced ourselves over the last three quarters that we've been speaking , is on holding to our rates, right? And that has continued in this quarter as well where across every single product that you look at in our portfolio, we have made sure as a business, as a team, we h

ave held on to our rates. So very clear on making sure the risk -adjusted return that we make, we do well .
So there has been a slight reduction of maybe 7 bps -8 bps, you know, on the yield side, but that's purely on account of product mix. So you could see that disbursements on the unsecured book hasn't grown as much. And that's something, as I mentioned ea rlier, we're very focused on making sure that grows. Once that growth comes back, the yield should come back and make sure we stay within that 14 plus range. So that is step number one.
The second big item , on the borrowing side that you mentioned, as we've been speaking, we said that, you know, we were confident of our borrowing costs and we continue to be confident. What we have done is we've made sure on the borrowing side, we have used certa in strategies on borrowing which help us reduce cost. We have made sure we've worked with our partners to keep costs at a bare minimum. And there has been some advantage that we had called out earlier that we don't have any more low -cost borrowings which are to reset. We finished all of that. The

last tranche almost finished in October – November 2025. What that has allowed us to do is that if there were borrowings, you know, at 8% + or even a 7.5%, we've managed to further work on that and make s ure we tighten the ability on our side to make sure that the funds we get into the company are at the best rates to enable business to go out and lend , and lend to the right quality customers to ensure we get a good risk -adjusted return.
So pretty much su stained that, Viral, and some of these pieces, you know, it's not one particular strategy. It's a combination of various things that we've been working on for the last few years falling in place, working through it, strategic pieces coming in and making su re it helps us, you know, come to a cost of borrowing which we're good at.
So that's been the key focus. In the market , has borrowing cost gone up over the last one month? Answer is yes. The one thing you will see in our borrowing mix is tha t we still have very low CPs and that's dry powder that we have kept with ourselves. We still have a very healthy mix in terms of bank loans. So it has not even crossed 50% today. So we are making sure that we are very careful with how we borrow, don't let our mix go off and make sure that this is sustainable.
Viral Shah: Got it. So you expect this cost of funds to broadly sustain even if where we are the broad market rates are?
Jaykumar Shah: I would like to think at least for the current quarter we're good, right? Beyond that obviously nobody knows what can happen tomorrow morning. But everything remaining equal, I think we will be able to sustain it in the near future for sure.
Viral Shah: Got it. And my second question Jay was with regards to , I would say on growth, and I know a couple of questions you addressed that and of course fully understand that it is first going to reflect on disbursement and then gradually on book. But within that when I look at the mix, right? So first of all on a Y -o-Y basis the disbursement growth is 13%. Of course there is a

seasonality just as from 4Q to 1Q, similarly from 3Q to 4Q also there is a seasonality, right? So on a Y -o-Y basis the disbursement growth is still 13%.
A, first of all, do you see this picking up to say at least say in the corridor of 18% to 20%? The reason why I say this is that the mix of it, the share of or at least the growth of asset finance which is typically a longer tenor book is actually reducing and whereas the enterprise and consumer finance is actually driving this disbursement growth.
So for our AUM growth to kind of say materially pick up and eventually at least show up say over a period of time, we would need this disbursement growth to be at least 18% to 20%. Do you see visibility of that?

Jaykumar Shah: So let me cover a few aspects. Today when you look at our enterprise lending and asset finance and, the consumer finance side. So in enterprise lending we have LAP which is a longer tenor product. In consumer we hav e two -wheeler and auto loans which are relatively longer period compared to a consumer product. Plus in the asset finance space as well, we have discussed, you know, on multiple occasions over the last quarter that we are very focused on making sure we grow our used business. And we have a lot of plans in place, we've done a lot of homework there

and we are relatively confident that that business also we will grow well. So across the board in areas that we wish to grow, that level of confidence is there today.
To your second question, I'm very hopeful on a Y-o-Y basis the number that you menti oned is something which we will work towards and if everything remains equal, hopefully we'll do well on that number as well.
Viral Shah: Right. And can I just squeeze in last question?
Jaykumar Shah: Okay.
Viral Shah: So basically, on the asset quality fr ont, agreed there has been I would say very marked improvement in 4Q. Just wanted to cross -check on one piece. There has been a sharp 30 bps increase on Stage 1 PCR. So is this just a n annual refresh or there is something else over here which has fed in?
Jaykumar Shah: No, so we've discussed in our previous interactions Viral that, given that we are a very retail lender with a highly granular book, our provisioning is determined, you know, or driven largely by our product mix. Right? So it's ve ry granular, it's refreshed every quarter, right? There's nothing called one time. We identify homogeneous asset pools for calculation of ECL which is driven by PD -LGD of those pools and the segment /sub-segment as applicable. One of the thin gs our provisioning methodology takes into account is, you know, the company's historical credit loss experience, current economic conditions, forward -looking information and scenario analysis. That's built into it in terms of the methodology and that more or less comes out. So there's nothing specific that I would want to highlight, but we are well positioned in the medium term in terms of, the base at which we wish to operate on the credit cost side.
Viral Shah: Got it. So basically, this partially does take into account the current scenario that we are in.
Jaykumar Shah: Yes. The methodology makes sure that, you know, if there is any adverse thing, to an extent it would, you know, take care of those things.
Moderator: Sorry to interrupt. May we request M r. Viral to please rejoin the queue? Thank you. The next question is from the line of Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani: Yes, thank you for the opportunity. I had a question around the vertical -wise asset quality that you have sha red. Just wanted to highlight – we only have data for three quarters, but just wanted to understand first is on the asset finance bit. It seems to have moved from , the gross Stage 3 moved from about 3.1% in fourth quarter of FY25 to 4.3 % last quarter and now reversed back to 3.8 % So this is quite dramatic an improvement while even the deterioration was quite rapid. Can you help us understand what exactly is driving this much faster recovery trends that we are seeing over here? Is it s imply a function of market environment improving or anything that we were talking about our technology -led collection team, AI -led collection bots, making it easier for us? Or anything that you can highlight on that front that will be useful?
Similarly, on the enterprise lending in the gross stage 3 and the PCR, while we called out the stress in this book in the last couple of quarters, the PCR here used to be much higher at about

57%, 58% or so

last year. We've brought this down, s o it seems a little contrary. We thought that, I mean, there would be a little bit more provisioning required over here for this book to clean up. So, just some understanding around the provisioning for the enterprise lending book? Thank you.

Jaykumar Shah : Yes. So, Shreya, let me take the opportunity to make it a little more holistic and give you both your answers as well.
So, if you look at how our stage 3 has operated, an important piece is enterprise lending moved from 1.82 % to 1.58 %. It was 1.79 % last year, right? So, there's been a marked improvement there.
And across the Board, as I mentioned, a lot of our calculation happens through PD – LGD, and what the underlying book mix is. So, there's not much that we go in and check as t o what account falls under A or B, and we do some manual adjustments – We don't do that. It comes in a very automated format. In fact, I would like to give credit to our IT team and our finance team that they have actually fully automated ECL this quart er. So, it actually comes out from the system. Now, in doing that, obviously, there will be certain loans at a particular stage with different kinds of PD – LGD in different sub -products. So, it's purely an outcome. We don't believe there is anything more that we need to do. I hope I never have to bite my tongue on this one , but there's a lot of work which has gone in to make sure that we're comfortable with the book in enterprise lending and be able to grow from here on with good quality. So, that' s the first one.
On asset finance, as you rightly mentioned, it has moved from 3.14 % to 4.3 % to a 3.79 %. Now, as you would remember, when we called it out in Q2 and Q3, there was a challenge which the business got hit by, and the recovery has been slight ly K-shaped. And what do I mean by that? The accounts that went and got challenged at the end of Q1, their recovery hasn't been very great. So, what we have done, and if I can just share some insights, what we have done is we've made sure we push ha rd on that recovery to reduce stage 3. And that's where the business and collections team together have done well. But at the same time, they've worked very hard to make sure flow forwards reduce. And that is a key thing from a future standpoint, which gives us the confidence, as Ramesh was mentioning, from a growth standpoint, to be able to grow from here on, because what we are on -boarding now is good. So, you will see that stage 3 come down. At the same time, you'll see the health of the overall boo k sustain as well.
And finally, on consumer finance, there also you see good improvement from Q3, while from last March, there has been a slight uptick – so, that 2.26 % is now 2.44%, but there are lots of strategies in there that we have today to be ab le to work around this number and hopefully pull it down, or maybe stabilize it over the coming quarters. Yes?
Shreya Shivani: Right. Just to follow up on that, in the asset finance, you mentioned there's a K -shaped recovery. So, the accounts which were ch allenged in one – first quarter, there it has not been great, but the accounts which probably slipped in the last quarter and all, they are recovering at a much faster pace. Is that the way to think about it?
Jaykumar Shah: Yes, in one word.

Moderator: The next question is from the line of Sonal from Asian Market Securities.
Sonal: I just have a few questions on the disbursement side. So, if I look at enterprise lending, there has been about 27% -28% growth on Q3 bas is. So, what really changed in betwe en the two quarters? What is it that the company did which led to such high growth on a Q3 bas is?
Second is on the asset finance. So, if I look at the full year number, there has been a decline of 3% disbursement. So, I just wanted to understand, I mea n, was this a conscious

call just to focus
on the credit quality that you've allowed to grow or probably declined this book a bit in terms of disbursement?
Also, I mean, we've been talking about 50 -50 used and new kind of mix within asset finance. So, going ahead, I mean, how should we look at the growth, especially in the asset finance segment? And maybe you could call out in the next one or two years, how should your AUM be?
Jaykumar Shah: So Sonal, two parts. I'll go through EL first. On the ent erprise lending segment, we had called it out in Q1 that we had strategically or tactically looked at focusing on making sure the asset quality comes back, especially within the business loan side. By Q2, we were relatively confident. From Q3 onwards, w e have really started pushing on the growth front , that's come about on the secured business within enterprise lending in a good way. On the unsecured business, we have the house in order in terms of the backend, in terms of the credit engine, in terms of the criteria that we look at. Now, the whole focus is just one, making sure our guys get onto the ground with the confidence that the risk -adjusted pricing that we are talking about, go to the right customer for the needs that they have, support them in their growth, and ensure HDB grows as well. So, that's the focus really on enterprise lending.
On the asset finance side, you're right. We've spoken about reaching to wards a 50 -50 over a four-year perio d, and that is something which I called out earlier as well, that we want to really grow our used business. So, on the new side, we will grow at industry rates. On the used side, we are going to push more. We are much smaller today than a lot of established players in the

marke t, and with the kind of network that we have, with the kind of teams that we have, I think the focus is really going to help us push that hard. It is a key deliverabl e for us. We will be watching it closely. And I'm sure in three months' time when we speak again, this is something that I'm very hopeful I am able to deliver a good amount of positivity on that front.
Sonal: And so, on the AUM mix?
Jaykumar Shah: So, the AUM mix today is 38 -38-24. I think over a period of time, it could be 38 -37-25 or so in the short term. So, every single business that we have remains a key focus area for us. There is nothing that we're deprioritizing. We are just making sure that as w e grow from here and we double in size over the coming years, the risk -adjusted portfolio is a conscious decision and not something that we have to worry about at some point in time.
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Sorry, I joined this call a bit late. If you can just reiterate the growth guidance, both for disbursement and AUM, the credit cost guidance, and the NIM guidance for FY27. Just one data point which I wanted to understan d. What is the total quantum of write -offs for entire year FY26 and in fourth quarter FY26? Thanks.
Jaykumar Shah: So, Shubhranshu, first thing, we don't provide guidance on specific numbers. But I'll cover it in a manner of what I have been speaking wit h all investors over the last few quarters.
So, on the growth side, we are looking towards the medium -term trajectory, CAGR -wise, Nominal GDP + 6% to 7%. And at this point in time, you will see that first coming through disbursements. And then obviously, on the book front, it will reflect as such.
On the credit cost side, we've discussed over the last couple of quarters that we wished for it to moderate in the range of 2.3% plus /minus. And at this point in time, we believe that going forward, we should be able to work with that number for the medium -term.
On the NIM side, we have guided or we have spoken, and depending on how the market goes, of making sure that we maintain

an 8% +, today it is 8.2 %. The businesses have been very focused in making sure at no point in time we drop yields. So, that's really helping in making sure it stays up. On the borrowing side, again, the teams have done extremely well in making sure our strategies work. So, we're at 8.2 % (NIM) today. But an 8 %+ is something which we would want to be at every point in time over the coming period. So, that's something which when we compare it to last year, we had dipped at a point in time. Going forward, we will make sure that we're consistent in an 8 %+ NIM.
Shubhranshu Mishra: The quantum of write -off in this quarter and for year FY26?
Jaykumar Shah: So, we'll pick it up. It will be there in the financials. I think we just pick it up offline in terms of the number as such. Yes.
Shubhranshu Mishra: Okay. If I can just squeeze in one last question, the growth in opex, how much are we expecting in FY27?
Jaykumar Shah: So, my opex today is at, whether you count it as a 39.5 % (Cost -to-income) or a 3.7 % - 3.8% (Ope x to gross loan book) . I think we will range around 3.7 %. Ramesh mentioned about a few AI initiatives that we're running. And we're very keen that we continue to invest in the business from a growth standpoint. At the same time, our Chief Credit Officer is very keen to make sure that on the collection side, some of these initiatives also help us, you know, reach out to customers better in making sure we nudge them in the right way for money to flow back in faster.
So in similar range . Thank you.
Shubhranshu Mishra: Thank you so much. Best of luck.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity and congrats on a good set of numbers. My question was on margin front. So, we have been trying to, let's say, increase the use d segment

within CV /CE as well as our share of consumer loans is also marginally increasing and we are aiming at further increasing it , whereas on the cost of fund side, you highlighted that we would be able to maintain it at current levels for at least medium term.
If that happens, then what is the kind of, let's say, margin that we can reach to? Because if these levels play out, then tru ly, is it possible to do maybe on a sustainable basis at an 8.2% margins?
Jaykumar Shah : So, first of all, thank you, Shreepal . And I'm very hopeful that what you have asked is what I can deliver. Just to clarify, what I said is at least for the current q uarter, right, we should relatively be good on our cost of borrowing. And there is a lot of volatility today, Shreepal . So, what we were borrowing at probably 3 months ago and today has been slightly different.
I'm hopeful that going forward, we will keep it (NIM) at higher levels, but an 8 %+ is a non -

negotiable the way we treat it internally today, right. And that is something when we make our 2-year, 3 -year, 5 -year plans, that is, as I said, a complete n on-negotiable. At every point in time, like any good business, we will maximize how we look at our assets in the form of risk -adjusted return.

As I said, the business has been great in terms of making sure that yield stays. The product mix, we have been comfortable all throughout at a 72 %-28% mix, 72% being secured. We are at 74% secure d today. So, as we grow some of those businesses and that comes in, hopefully, that helps us on the top line. And with borrowing costs, if all stays well, let's hope t hat we're able to talk about the number in the medium term that you mentioned.

Shreepal Doshi: Got it, sir. Just one last question was on the branch network side. So, that number has come off. I understand we must be rationalizing some of the branches or maybe consolidating some of the branches. But should we plan to add branches, let's say, overa

ll in FY27 or let's say in FY28
time period?

Jaykumar Shah : Absolutely , but I'll turn it around a bit. We have not reduced a single square footage of usage in the last three quarters that we have been in existence (as a listed company) , right.

So, the most important thing, Shreepal , that we are looking at now is looking at branches , and just so that all of you are on the same page. Today, when we set up a branch, we set up a branch even in 600 square foot and 800 square foot, right. As a branch grows, we might have two branches in the same vicinity that we have done over a period of ti me. We are looking to see how do we double, combine that branch potentially, and maybe multiply it in terms of size. So, there are a lot of branches today that we've moved from a 600, 800 square foot to a 4,000 square foot, right. And that helps us d eliver better to the customer. You need one branch manager, you need one security guard, a very trivial thing, which is very important in the working space, and you'll properly have toilets. The employee well -being is better, the feel is better, helps us deliver better to our customers. So, a lot of those factors have gone in, in making sure that the space that we have now is properly suited for the next 10 years.

So, that's something we've been working very hard on. So, you might see 20 -30 branches go up and down. The focus also is how we deliver better to our customers. So, DIY that Ramesh spoke about, going 2x to maybe 5x, etcetera, growth -wise, right. That does n ot need a branch – that

needs technology. And as I mentioned, that's something we'll continue to invest in to make sure we deliver on the overall growth targets that we have.

Shreepal Doshi: Got it, sir. Thank you, sir. Thank you so much for answeri ng my questions.

Jaykumar Shah: Thank you.

Moderator: Thank you. The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil: Good evening to the team. I have two questions. The first question to Mr. Ramesh is, how do you see HDB Financial Services expanding its lending and customer financing business in the coming quarters, especially in terms of reaching new customers, improving service quality, and using digital platforms to make borrowing simp ler? That's my first question. I'll ask my second question after this. Thank you.

G Ramesh: Okay. So, if you look at our customer franchise, that's grown from about 5 million in 2020 to about 22 million in 2026, right? So, it was 12 million in March 2023. It was about 5 million in 2020.

So, a key to our growth, we believe is the customer that we service in India, which is aspirational India. This segment is expected to grow as India grows, as India gets larger economically. This segment is likely to hav e the most outsized growth in terms of just sheer number of people who will come into our addressable base. So, that's the first point.

The second point is that we spoke about our distribution. We are present today in 1,161 towns and cities. I can assure you that the 1,161 town that we're talking about is probably as small as what a cluster can get. But I think what we've been able to do is to deliver service standards, which are uniform across the country. So, in our consumer finance business, where we w ork with more than 100,000 retailers, whether the retailer is in a metro like Mumbai, Delhi, or whether he's in a small town like Jorhat, the service standards are same in terms of the time it takes us to do a credit appraisal and do a delivery. And by th e way, this is true for all products, but I'm taking consumer finance because that's a product where we deliver a credit decision in a matter of few seconds or minutes. So, that's the second point in terms of how do we engage with our customers in a very, very transparent and non -discretionary mann

er.

So, the third thing is that our extensive distribution means that when we work with our manufacturer partners, whether it's in our commercial vehicles , construction equipment, consumer durables, digital produc ts or tractors, we have a very strong proposition for them in that we can cover practically the entire country – and give them a value proposition, not just restricted to 100 or 200 cities, but 1,000 + cities in India. That's a very strong proposition. It's a strong moat . It's not easily replicable . Building this kind of distribution takes time and building consistency in service delivery takes even more time.

The fourth is on our digit al initiatives. Today, you can go to an e -commerce platform and get a loan through HDB, even if you are new to HDB. Most of our – the downloads of our app today stands at 1.41 crores downloads. We have 4.76 lakh daily users on our app. What this enables

us to do is to engage with our customers who are our existing customers to make sure that we're able to tell them about what's happening, what are the offers we have for them , and what else we can do for them so that we have an extensive engagement with our customer base.

So, what it enables us to do is to engage with the customer through their lifecycle and that's really the proposition of our company, that how do we engage with the customers through their lifecycle. So, whether it's a consumer loan that they want to enhance their lifestyle or whether it's a vehicle loan to augment income or whether it's a loan against property for a capital investment or for a business expa nsion that they have. So, irrespective of the use -case or the need -case, we have a suitable product and that product is the hero for that customer at that point of time. So, that's the fourth point.

The other point is on use of technology. Some of this is for the three key use cases for technology. One is to reduce time to deliver credit or time to collect or time to service a customer. So, I think that enables us to deliver a consistent proposition to customers. The second is to reduce cost. There are certain activities, if I can put them on a digital workflow, I reduce the cost as compared to what I would do otherwise. The third is to improve quality and given that we originate almost a million customers a month or thereabouts, which means that w e have to deliver very high quality service. So, if I'm going to do 100,000 consumer loans, I have to make sure there are 100,000 pay outs, payments go to the dealers without any delay, so that we have consistent business coming through.

So, whether it's cost, quality or time, we put out metrics when we put out a technology project and make sure that we deliver on those numbers and we monitor to make sure that those technology interventions deliver the results that we are looking at.

Sucrit Patil: Thank yo u. My second question to Mr. Shah is, how do you plan to manage risk in the lending business, such as credit defaults or any compliance changes and market volatility, while keeping the profit steady and ensuring a sustainable growth for the company …? Thank you.

Jaykumar Shah : So, the way we look at it, first and foremost you need to think about us, that we are an HDFC bank subsidiary. Today, every single regulation that comes in, pulls it more towards like a bank. The be nefit we've had, if I can put it that way, is that every single bank regulation that comes in, we are actually operating on that any which ways. And within those realms of possibility or boundaries that we have, we have a moat in terms of how we deliver to our customers and make sure that the customers that we look at, clearly have a need for what we do and we partner with them on their growth. So, at this point in time from where we are in the overall credit cycle, where we are with our customers, as we mentioned we're v

ery focused on the risk adjusted portfolio, risk adjusted customer that we looked at. And over the last quarter, it's a testament in terms of us holding on to our top line. We will continue to do that. We have a wide variety of products, each product, each sub segment in that has a focus in terms of which kind of customers they should look at. The credit teams put out details in a v ery, very granular manner and that will absolutely continue going forward.

Sucrit Patil: Thank you, and best wishes.

Jaykumar Shah : Thank you so much.

Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Se curities Private Limited. Please go ahead.

Manish Ostwal: Yes, sir. Thank you for the opportunity. In terms of sir, customer segment like we are – are you seeing in this particular financial year, have you seen any major market share gain in some of the product categories or customer segment compared to our competitors in this particular year – can you call out some products or segments?

Jaykumar Shah : Sorry, Manish, we're not clear about the question. Could you help me understand a lit tle more, rephrase it or help me understand it better?

Manish Ostwal: My question is, sir, I want to know HDB Financial gain ….. in particular customer segment?

Moderator: I'm sorry to interrupt you, Mr. Manish. We are unable to hear you , sir. Your voice is breaking.
Manish Ostwal: Am I audible, sir? Now it is better?
Moderator: Please go ahead.
Manish Ostwal: Yes, my question is this particular ….
Moderator: I'm sorry to interrupt you, Mr. Manish, but it is not audible. We are unable to hear you, sir. It is breaking while you are speaking.
Jaykumar Shah : We will go to the next speaker and we'll come back to you, Manish, because we really can't hear you. And if there is something that we missed, then you can obviously get in touch with Gaurav and then we'll come back to you as well.
Moderator: Thank you. We'll move to the next question, which is from the line of Renish from ICICI Securities. Please go ahead.
Renish: Thanks for the follow -up. See, just ag ain touching upon this distribution thing. I mean, for retail business obviously the distribution is a key pillar. Now, when we look at whether it is, town and cities addition or physical branch addition over the last one year or so, it is actually either flat or there is a decline, right? So, how are we seeing this internally and what gives you comfort that we will be able to achieve our aspirational growth targets with this physical network and also distribution in terms of town and ci ties?
G Ramesh : So, Renish so what I think one of the things that's changed over the last few years is the amount of digitization of processes. So, no more does a sales officer carry a file to the branch anymore. The credit is delivered to where the customer is in most of our product categories, right? In most of our customer categories, credit is delivered in the field , it is not decisioned in the office. So think of a consumer loan or a vehicle loan, the credit is delivered at the point of sale , it's not delivered and decided in the office anymore. So which means that, I don't have to have a physical office in the vicinity of where my sales person operates , for the person to carry a file every day to the office.

When we star ted our business in 2008, practically every customer application, there would be an application with supporting documents which would be received in the office at the end of the day. Credit officer would look at that file and the process would start then.
Today the process starts when the customer is met, expresses interest and shares some basic documents. Those are all scanned in real time through an app that the sales person carries . I'm talking about assist

ed journey. In a digital journey the customer does all this by himself or herself. So the need to have a physical office in the proximity of our distribution network is lower today. I mean, I could simply ask the sales perso n to visit the office once a week if it's 50 kilometres away.
So what we've been able to do is to set up more distribution points through our feet -on-street and through our digital channels than what we could have afforded to do a few years ago. I think the decline you see is really because some of the smaller locations where we had offices, we decided that it's not worth keeping a physical office anymore because that location can be serviced from a second location.
The other thing that I spoke about is t hat our Do -it-Yourself (DIY journey) has gone up by 2.2 times in one year. Now a lot of existing customers, right, because they have had good repayment relationship with us – we encourage our customers to come through our app where the offers are availa ble and complete the journey digitally itself because that can be done whenever the customer is free whether it's 11:00 a.m. in the morning or whether it's 7:00 p.m. in the evening, does not require a personal intervention. And if the customer at any point of the journey wishes to engage with the company, there's an option to convert that digital journey to a n assisted journey.
The third thing that you also have is that today we have a n option for customers to even use our – take our loans thro ugh e -commerce sites which again is a fully digital journey. So distribution expansion is a function of, you know, the physical presence, distribution presence which is unassisted journeys, and digital presence, which is again unassisted journeys.
So today a dealer can login a file on our behalf because we've given him a n engagement layer and then the customer journey can start from there , does not require our person to be there. So, we will use all available methods to expand our distribution and continue to expand that. I think physical offices, unless there's a certain size that we reach, we take a call on whether we need a physical office or not.
As I said, I can have a sales person working remotely and visiting our branch only once a month because there's nothing that he really needs to do. He doesn't pick up payments, he doesn't, carry files anymore because it's all digitally transmitted.
Renish: Got it.
G Ramesh : Anything else you want to add Jay?

Jaykumar Shah: No, I thi nk that's great. Thank you, Ramesh.

Renish: Sir, just follow up on that maybe Jay if we have time I don't know or I can...
Jaykumar Shah: So I think we're running out of time, Renish. We can pick up things offline. Is that okay?
Renish: Okay. Sure sir. Sure. Thank you so much sir.
Jaykumar Shah: Thank you.
Moderator: Thank you. Ladies and gentlemen, this our last question for today, which is from the line of Jay Betai from Nirmal Bang Institutional Equities. Please go ahead.
Jay Betai: Hello sir. Thank you and congratulations on the good set of numbers. My question is currently on repayment, since the start of the war, how has been the repayment been in the MSME clusters?
Jaykumar Shah: So we haven't seen any major disruption is the way I would put it. So something Jay we covered earlier also that March has been fine for us. And at this point in time, I think too early to call out second, third, fourth order impact. We seem to obvi ously get some positive messages as well. Let's hope the positive messages translate into positive outcomes. And we at this point in time based on what we are seeing on the ground would really want to focus on growth and movement forward from here on. And obviously that growth complements with the fact that collections remain good.
Jay Betai: Okay sir. Also and just one more question if I can squeeze in, on your

AI initiatives, it is just for
reducing TAT and bringing in new customer or is it for reducing o pex and reducing expected credit loss as well?
G Ramesh : Look, technology initiatives cover all three outcomes, right? One is to reduce time it takes to deliver credit or time to process a loan or time to make a payment to our partners. Second is improving quality and third is reducing cost. So all three initiatives, there'll be projects that work on all three, there'll be projects that work on making sure that things work well. For example, we use AI extensively in our cybersecurity. Now that 's really something that can't be done by human beings anymore, right? So you need technology to help us do that. So for example, we have branches which are monitored on a real -time basis. So there could be thousands of CCTV cameras that we have in our bra nches. They need to be monitored, can't be done by human beings so you enable AI to monitor so that you a human being only looks at exceptions.
So as I said, we – aone of our core principles is to deliver credit across the country in a uniform manner, so whether the customer is in a Tier 4 town, a village or a metro. Now that gets delivered through technology, right? That consistency in service. So depending on the use case, it could be any of the three or a combination of all three or all three at the same time. Yes. Thank you.
Jay Betai: Okay sir. Thank you sir. Sir one more question from Mr. Manish…
Jaykumar Shah: Jay, we'll sorry, we we're running out of time. So tha t's okay, we can speak offline.
Jay Betai: Thank you sir. Thank you.

Moderator: Thank you. As this is the end of allotted time, I now hand the conference over to Mr. Jaykumar Shah for closing comments.
Jaykumar Shah: Thank you, Rutuja. Thank you very much everybody for your time. We are quite excited for the quarters ahead and the performance for Q4 has laid the right foundation on growth and profitability to be achieved over our medium -term goals. Thank you very much and have a great evening. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of HDB Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

Call: Jul 2026

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HDB/SLC/2026 /1505

July 20, 2026

To,
Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, Block G,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051
Scrip Code: HDBFS To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400001
Scrip Code: 544429

Dear Sir / Madam,

Sub.: Transcript of Earnings Call in relation to the Unaudited Financial Results for the quarter ended June 30, 2026

In continuation to our letter dated July 15, 2026, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on July 15, 2026, in relation to the Unaudited Financial Results of the Company for the quarter ended June 30 , 2026, has been made available on the website of the Company at the below link :

https://www.hdbfs.com/investors

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal
Company Secretary and Compliance Officer
Membership No. F11340

Encl.: As above

HDB Financial Services Limited
Q1 FY27 Earnings Conference Call Transcript

For the Earnings Call held on July 15, 2026 , 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO
MR. JAYKUMAR SHAH – CFO
MR. VISHAL PATEL – HEAD INVESTOR RELATIONS

Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties
that could caus e our actual results to differ materially from those in such forward -looking statements. HDB Financial Services
Limited (HDBFS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderato r: Ladies and gentlemen, good day and welcome to the Q1 FY27 Earnings Conference Call hosted by HDB Financial Services. Please note, this conference call is only for analysts and investors and not for media. As a reminder, all participant lines will be in t he listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.
I now h and the conference over to Mr. Vishal Patel, Head Investor Relations of HDB Financial Services. Thank you and over to you, Mr. Vishal.
Vishal Patel: Thank you, Sag ar. I welcome you all to the Q1 FY27 Earnings Call of HDB Financial Services Limited. We have with us Mr. G Ramesh, MD and CEO, along with Mr. Jaykumar Shah, CFO, and the senior management team of the company.
I hope all of you would have had a chance to peruse our financial results, investor presentation, and press release, which have been filed w ith the stock exchanges earlier today and is also available on our website www.hdbfs.com .
We will start with the management remarks and then open up the call for Q&A. The audio recording of this call will also be available on our website shortly after the call ends.
I would now request our MD and CEO, Mr. G Ramesh, for his opening remarks, following which our CFO, Mr. Jaykumar Shah, will provide a brief on the financial results and then we open up the call for Q&A.
G Ramesh: Thank you, Vishal, and a very good evening to all of you joining in.
Starting with the macros :
Domestic economic activity continues to show resilience despite some of the concerns we had arising out of the West Asia conflict. While the momentum remained h ealthy, R eal GDP growth expectations have moderated down to 6.6% for FY27 as highlighted by RBI in its monetary policy. Inflation projections have increased to 5.1% driven by supply -side pressures. On the policy front, regulator maintained its neutral stan ce, keeping the repo rate unchanged.
Supply chain challenges that might arise from the ongoing West Asia conflict and El Nino -related risks remain a key monitorable.

Coming to vertical -wise commentary ,
On Enterprise L ending : Q1 disbursements for the se gment grew by 14% YoY . Our LAP + EBL, which is our mortgage book, expanded by 13.2% YoY and we anticipate this upward trajectory to continue.
Our gold loan disbursements as well as book has doubled over last year. Gold loans is positioned for continued tra ction supported by the enablement of close to 500 branches of our existing branches through which we deliver gold loans.
In Unsecured Business L oans, disbursements started to accelerate in the latter part of the quarter, positioning it for improvement goi ng forward.

Portfolio quality and collections were healthy for this vertical.
We expect po sitive momentum to continue in E nterprise L ending.
On Asset Finance: Commercial V ehicle s book registered a modest growth of 10 % YoY , while Construction E quipment book grew by 8% in the same period. Improving sentiments , led by demand around last -mile mobility bode well for our Asset F inance business, while monsoon remains a key monitorable.
We saw continued improvement in asset quality in this segment with Stage 3 improving sequentially.
With a focused appr oach in this market

across our Asset F inance businesses, we will continue
to drive growth in our desired product portfolios over the coming quarters.
On Consumer Finance: This segment delivered a strong quarter , with the book growing by 7.5% QoQ and 21% YoY .
Consumer durables book expanded by over 50% YoY led by deeper penetration across our extensive distribution network, further supported by seasonal demand for compressor products.
Auto loan book grew by 21% YoY, both value and volume growth were healthy. We expect momentum to continue in Consumer F inance segment on the back of sustained demand for our products.
Overall , Q1 was a quarter marked by disciplined operational execution. Our customer franchise expan ded by 19% YoY to 23.9 million. Disbursements grew by 16% YoY, Profit after T ax (PAT) grew by 38% YoY , while Stage 3, which seasonally is a weak quarter in Q1, improved to 2.34% of book as compared to 2.44% as of March 31, 2026, and 2.56% as of June 30, 2025.
CRISIL assigned us a “Strong ” ESG rating with a score of 68 in our very first evaluation, underscoring our commitment towards sustainable business practices.

On the technology front , we are using artificial intelligence to transform the expe rience of our customers from a “Transaction J ourney ” into a “Life Cycle J ourney ”.
Over the years, we have strategically built a strong product suite designed to fulfil every financial need a borrower might encounter through their life. With an AI -first design, w e are actively shifting the paradigm – ensuring that a specific loan is not viewed as an isolated transaction, but as a critical component of a long -term financial relationship where we support the customer at every milestone.
Our transformation plan maps out how we are using AI to manage this entire life cycle journey – from onboarding, faster processing, intelligent customer servicing, collection automation, to predictive hyper -personalized offerings. We plan to make every interaction a meaningful long -term e ngagement, helping us to fulfil not just an immediate need, but to build a lasting financial partnership with our customers.
As a part of this journey, we are happy to announce that we will be bringing all our AI transformation journeys into a single umbrella, “Shikhar. ”
On that note, I hand over to Jay kumar for an update on the financials.
Jaykumar Shah: Thank you, Ramesh, and thank you everybody for tuning in.
Moving on to the financial performance for the quarter.
■ Customer franchise grew to 23.9 million with an increase of 18.6% YoY and 4.1% sequentially.
■ Disbursements for the quarter ended June 30, 2026, was ■17,629 crores , up 16.2% YoY .
■ Gross loan book as on June 30, 2026, stood at ■1,21,846 crores , growing 11.3% YoY and 2.8% sequentially. Secured loans comprised 73.9% of the gross loan book.
■ Profit after tax for the quarter ended June 30, 2026, was ■785 crores , our highest ever quarterly profit to date, an increase of 38.3% YoY and 4.6% Qo Q.
■ Gross Stage 3 as at June 30, 2026, improved to 2.34% as against 2.56% as at June 30, 2025, and 2.44% as at March 31, 2026, with a provision coverage of 55.73% .
■ Net interest income for the quarter was ■2,509 crores , an increase of 19.9% YoY and 4.6% QoQ .
■ Net interest margin for Q1 FY27 was 8.35% vs 7.74 % in Q1 FY26 and 8.23% in Q4FY26.
■ Cost to income ratio for our l ending business was 39.9% in Q1FY27 as compared to 42.7% in Q1FY26 and 39.5% in Q4 FY26.
■ Pre-Provisioning Operating Profit, PPOP, for the quarter was ■1,726 crores , an increase of 24.3% YoY and 3% Q oQ.
■ Credit cost for the quarter was 2.32% as against 2.35% for the previous quarter.
■ ROA (annualized) for the quarter ended June 30, 2026, stood at 2.5% , which is very

similar to what we achieved in Q4 FY26.
■ ROE (annualized) for the quarter ended June 30, 2026, stoo

d at 15% .

■ Earnings per share for the quarter ended June 30, 2026, was ■9.5 and book value per share stood at ■256.7 .
■ Our borrowing mix remains well -diversified with a positive cumulative mismatch across all bucke ts up to five years.
■ We remain well -capitalized with total CRAR of 21.29% as at June 30, 2026.
We now open for Q&A and would request Sagar to open the queue for questions.
Moderator: Thank you very much. We will now begin the Q&A session. Your first ques tion comes from the line of Renish with ICICI. Please go ahead.
Renish: Yes, hi S ir. Congrats on a good set of numbers. Sir, just two-three things. One on this Asset Finance piece, right? So just wanted to know your outlook on Asset F inanc e. I mean, when w e look at t he vertical -wise disbursement, Asset Finance is the only piece where disbursement is yet to pick up. So, what's your sense, you know, why this segment is taking longer to recover? And is this because of some market -related issue or it is just our cautious stance that we are going slow in this busine ss?
Jaykumar : Thanks, Renish. O n the Asset F inance side, as we spoke during, you know, the previous quarter, there's something which we built up as a moat in terms of building the U sed CV side and working carefully in terms of which products we focus on New CV. So, a large part of that work has been done. We are now at a juncture where you should start to see growth coming through. And let's wait for the next few quarters for the numbers to show up. That's all that I would say.
Renish: Okay. Okay. So, is it fair to assume that maybe July onwards the run rate at least on a monthly basis has started improving?
Jaykumar : We should see that happening, Renish.
Renish: Okay. Okay. And just related to that, you know, on the asset quality side, right? So again, when we look at the segment -wise asset quality, and sir also mentioned in their opening remarks that – the stage 3 in Asset Finance saw improving things in the last two -three quarters. So, you know, the early indicators also suggest that the kind of stress in that segment which used to be there earlier is subsiding and hence one shou ld expect a better run rate in Asset Finance piece going ahead?
Jaykumar : So, it should surely improve is the way I would look at it. If you see overall, you know, generally speakin g, Q1 is lighter as compared to Q4 from an asset finance and from an overall book point of view. And very happy today, that not only have we stabiliz ed our stage 3, we ha ve actually slightly improved it, right?
And even on the overall piec e when you look at how stage 1 – stage 2 moves, generally it's a much larger move. Today with a small movement, which, you know, would have largely caused, you know, the beginning of April rather than June, quite pleased to say that we're moving in the right direction in terms of asset quality across the board.

Renish: Got it. So, sir, just a last thing on the credit cost side. As you rightly mentioned that, you know, generally sequentially from Q4 to Q1 the stage 2 increases roughly 60, 70 basis points. Now this quarter that has been restricted to only 40 basis points. And also, in Q1 despite several industry - level headwi nds because of this war and all – you've been able to keep credit cost flat sequentially. So now keeping these things in mind, lower stage 2 accretion in first quarter and also the early bucket, I'm sure, is behaving well despite these headwinds, what should be the full-year credit cost guidance in FY27? I mean, logically it should be lower than FY26. So just wanted to get your sense on this.
Jaykumar : So, Renish, we don't go with guidance. I think we've stated it earlier that we look at credit cost overall to be in the range of 2.3%. Nothing's changed from there at this

point in time. If economic
circumstances are better, then obviou sly it will come throug h. As we ha ve said earlier, ours is a very simplistic model. It's a multiplication from what book we have.
So, it will come through. At this point in time, our biggest focus really is making sure the growth comes in in a big way. And that is what we a re really focused on. Metrics across the board – comfortable in terms of where we ha ve reached in Q1.
Renish: Got it. Any color you want to give, like you said, in terms of check bounce rate for June -July? I mean, whatever data trend you can just share to hav e some comfort on asset quality...

Jaykumar : So we ha ve started off fine. Nothing to worry is the way I would put it as of now. But you don't know what happens overnight, right? Nowadays things change overnight also.
Renish: Sure, right. Yes, okay. That' s it from my side and best of luck.
Moderator: Thank you. Your next question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Yes, good evening everyone and thank you for taking my questions. Congratulations…
Moderator: Sorry to interrupt, Abhijit sir, you are sounding slightly muffled.
Abhijit Tibrewal: Is it better now?
Moderator: Yes sir.
Jaykumar : Yes, better now. Please go on.
Abhijit Tibrewal: Yes, thank you for taking my question. So my question to the management team is that while we have seen disburs ements beginning to pick up now if I look at the momentum in the last 3 quarters, d isbursements have clearly started picking up. However, we also covered in the first participant's question is this Asse t Finance business momentum has remained weak and large part of the growth is still being driven by consumer finance.
So there sir, you said that there's lot of work that has gone into Asset F inance and we should start seeing business momentum improve. So if you could just help us understand, delve a little deeper into what all work has gone at least in that segment, the Vehicle F inancing segment?

And also related question here is that I think in opening remarks Ramesh sir said that we are continuing t o see a lot of strength in the Consumer D urable business. So what is it that is leading to this strength? Are there any particular product segments or is it more broad -based?
G Ramesh: So, I'll have Jay add on to the response to your question. Abhijit. So, w hen we look at our business and we have stated that we want to be a company that works through a customer through their lifecycle. So our whole thought process is – what's it that a customer wants through their lifecycle and how can credit help that customer achieve a better quality of life and meet their goals and aspirations and help with the economic growth of the country.
So that's been our thought process and that's how we've introduced products. Our product development strategy has centered on aspirational India as a segment. So, I think consumer finance is a business we started last, that was sometime in 2016 -17, a nd that business has much more opportunities to sell with far greater frequency than the other two businesses which we started earli er.
So, the idea of a multi -product company was also that we will be able to handle seasonality better and also seize the opportunities around seasonality much better than what a single product company can do.
Typically Q1 as a period bodes well for the Consumer F inance business. We have extensive distribution presence. We have presence in about 1.6 Lac + retail distribution touchpoints across the country. We have presence in about 1,200 cities in India and I'm sure you can imagine what that 1,200th city looks like. And these are places where we have a boot on the ground, which means that we know what's happening on the ground and we can make sure that we are tailoring our ac

quisition and our credit strategies around which product is selling, what's not se lling, how's the market behaving, how are our customers behaving. So we can really fine -tune our strategy right down to the last pin code that we work with. So that's the scale of distribution that we have and presence that we have. We work with 150+ manuf acturers in the consumer finance space and we help them sell more of their product. We work with them on seasonal schemes, we work with them on schemes through the year. And so a lot of investment has gone into that business and which is what reflecting in the Q1 numbers of consumer business.
As regards Asset F inance, we've been very focused on making sure that our product mix reflects a certain risk -return equation that the market expects. And so to that extent, we have pretty much rejigged our customer acquisition strategy to focus on businesses and products t hat help us deliver the RoA that we as a company aspire to deliver. So that's the way we think about these businesses.
So in Asset F inance, our focus has been – again on Asset F inance, we have extensive distribution, we work with all the top manufacturers , we help them sell more of their products, virtually every large manufacturer in India we have a tie -up with them. We do loan programs with them, promotional events, so that we can help sell more of their product s.

I think the whole focus has been on mak ing sure that the mix that we deliver is both useful for the manufacturer and relevant to the consumer and makes sure that we deliver a certain risk -

adjusted return. Jay, anything else you want to add?
Jaykumar Shah: Yes. So just one or two more things to add. One of the things carrying on from what Ramesh said, we've actually reduced some of the very high -value low -return kind of products. So if you look at tractor trailers or high -end HCVs etc., on account of that, some amount of value may be reduced, but our volumes have actually gone up.
So if you ask me are we doing more volumes, answer is yes. Are we really focused on the product that we want to expand in, the answer is yes. And today the numbers we've achieved and rejigged, actually in a running trai n kind of a thing, we've changed the bogies and we're at the same pace, right? Having done that, our ability now to accelerate from here in the products that we wish to is much better. On the ground presence in terms of our dealers, our manufacturers whom we're working with to expand from here for the next three to four quarters, not just one quarter, is also a lot more poised. So that gives us relative confidence that we should be able to pick up from here. And as I said to the previous speaker, I think let us deliver on our numbers and we'll discuss in a few months of how we're getting along. But we should be able to grow from here on with reasonable confidence.
Abhijit Tibrewal: Got it. Thank you so much for that. The second question I had was around t he asset quality discussed with the first participant as well. I mean, at least we the analyst community have been positively surprised with the asset quality, I mean, that most of the NBFCs are talking about. So two parts to this question here. One is, we re you also positively surprised with the kind of asset quality strength that we saw in this quarter?
Because despite the weak seasonality and this U.S. -Iran war raging for most of Q1, I think I mean things have held up really well. So do you think and li ke you mentioned, do you see this trend continuing or is Q2 going to be a little bit tricky because we might still see some after - impact? I think earlier in the opening remar ks we acknowledged that monsoon, because of El Nino are expected to be weaker and below normal and that remains a monitorable. So how are you thinking about the next 3 -6 months?
Jaykumar Shah So, thanks for that, Abh

ijit. The way I would put it is, you know, a lot of work which we do is very granul ar and a lot of actions we take provide us with desired results only in a few months after those actions are taken. So a lot of actions speci fically taken on the ground in Asset F inance and we've been speaking about it for almost 3 to 4 quart ers, we've been speaking about Unsecured Business L oans for almost a year, and we've been speaking about the rest of the business as well. There we took specific initiatives towards January to make sure that when we enter April, at that point in time we absolutely had no inclination or understanding that a W est Asia crisis could even occur – was to make sure that our collections which happen in the first cycle, second cycle go down well, how we collect, how we go back in. And we spoke about a bit about the AI initiatives that were taken in collections in the last quarter. A lot of those small - small initiatives on the ground cumulatively have actually helped us in making sure how the bounce really improves and how we go back to the customer in a much shorter span of time and are able to collect. So that's one.

Second, West Asia crisis while it impacts global and impacts a lot of factors, it did not stop people from moving on the ground and that is a very important factor for us. The reason why Ramesh also called out p otential monitorable as monsoon/ El Nino is b ecause that affects the man on the ground if they cannot move, if they cannot ply, if they cannot run their business, if they cannot get customers, if they can't collect. And that hasn't really happened and we didn't really expect it to happen in a big way .
So I would say there is obviously a lot of design that went in and I'm sure fate has it that, things improve. So it is a combination of two that we are where we are in terms of the asset quality is the way I would put it.
Abhijit Tibrewal: Got it. Thank you so much. And then the last question that I had...
Moderator: Sorry to interrupt, Abhijit sir, we request you to rejoin the queue.
Abhijit Tibrewal: Yes, I can come back. No problem.
Moderator: Thank you so much, sir. Your next question comes fro m the line of Viral Shah with IIFL Capital. Please go ahead.
Viral Shah: Hi, thank you for the opportunity and congrats on good set of numbers, especially on the profitability front, Jay. I had basically two questions. Again, first is on the growth front. I understand y ou have explained a lot on the Asset F inance side, but just wanted to check some of the specific sub -segments when I look at say the Business L oans, even the MFI, two -wheeler on a sequential front, the book is actually marginally shrinking ev en on a sequential basis. So, is there anything more to read over there? Would you be able to just throw some light on that?
Jaykumar Shah: So, thanks for that, Viral. On MFI, as I had mentioned, you know, it's more of a small pilot kind of a thing which w e run. I wouldn't read too much into it. That's how I would put it on MFI.

Business loans obviously is a very critical deliverable for us and we have to grow that business. We have taken a lot of initiatives towards the end of March. Those initiatives as we spread across our entire network sometimes takes time in terms of picking up and going with the flow. We today believe that a lot of actions that we've taken are all embedded into our network and very hopeful that that book starts to turn positive from Q2 onwards and then shows growth.
So, if you remember when we spoke in April, on April 15th, I think , we said that we should start to see growth coming into that book from Q3 onwards and at this point in time we're holding on to a similar thought process in terms of where we see it. So, disbursements should start to see growth and book growth coming in Q3 onwards.
Viral Shah: Got it. But Jay, just more so fro

m say the structural point of view, Jay, when should we start expecting the growth to move closer to the trajectory that we have been guiding and indicating of closer to say at least an 18% kind of a growth? Would that be plausible by say the end of this year or say first half of next year?

Jaykumar Shah: I'm very hopeful, Viral. And that hope has unde rlying numbers to it, but let me come back to you more closer to dates rather than pre -empting . At this point in time, I am relatively confident that Q2 should be, you know, positive in the right direction leading towards what we've discussed.
Viral Shah: Got it. And Jay, the second question was with regards to, i f I look at on the profitability front, yields have actually shown a marked improvement. Of course, there is a mix change plus within the existing product and segments as you highlighted you are ma king some of those changes. How should we think about say the margins and the trajectory from here on given the fact that you are also accreting capital and that will also have a positive benefit?
Jaykumar Shah: So Viral, overall, two numbers, you know, wh ich we've been discussing is 8%+ we hold on to it. The focus clearly is to be at 2.5% ROA. There will be some amount of mix change quarter on quarter that will might affect gross yield, but there will be other places where we have advantages even come thro ugh t hings like other income etc ., which will net -set it off. So, at this point in time, we would like to make sure that we're able to deliver on the ROA front on a fairly consistent basis.
Viral Shah: Got it. And can I ask a last question?
Jaykumar Shah: Okay, quick one, yes. Otherwise, you come back if that's okay.
Viral Shah: Sure. Just a quick one on the some of the product segments that you mentioned within the Asset Finance you have been consciously vacating some of that. Would you be able to throw li ght on like who's taking up that part of the business in terms of competition?
Jaykumar Shah: Don't think it's my space to comment honestly.
Viral Shah: Yes, got it.
Moderator: Thank you. Your next question comes from Shreya Shivani with Nomura. Please go ahead.
Shreya Shivani: Yes, hi. Thank you for the opportunity. I have two questions. First is on the cost of fund trajectory and how do we look at, what is the current scenario in terms of our dealings with the banks? What kind of other liability lines ca n we dip into for the next rest of the three quarters and on full -year basis, will there be any change in strategy on what kind of liquidity levels you'll maintain etcetera .?
Second is on Asset Finance . So, your gross stage 3 over here has come down to about 3.6% or so. 3.6%, right? So, in some of your peers in good times have seen this come down to all the way down to 3%. We only have limited historical data for you all, so is that a range that we have historically achieved? Will that be something which will be targeting towards? Thank you so much.
Jaykumar Shah: Thanks a lot, Shreya. On cost of funds, as we'd said last quarter we were fine with Q1. We'd be very well within a range -bound number. Even for Q2 today, we should be fairly range -bound. Obviously, there is a number of days impact, and all of you all are f ar bigger experts in terms of

calculation than I am. So, we will be very, very range -bound within a narrow range for Q2 at least. Q3 while I have obviously my numbers and estimates etc. , if it's okay, I'd rather wait for a little bit of the quarter to go by because, while I would have been very, very confident on Thursday evening last week or Friday morning, things seem to change faster than I can think sometimes. So, we're fairly fine at this point in time.
In terms of availability and options for us, the y're fairly broad. So, one number being ver

y old
school that I like to follow, is keeping a positive current ratio. Today, I have an almost 1.3 current ratio where I have a lot of flexibility to do short -term. If there is any need, we're able to intra - mont h, intra -quarter, or even across quarter go in and make sure we make changes. And when I say make changes today with a CP book of less than 2%, hardly any short -term loans, ability to go in and out when required is fairly high. And that gives us the abilit y to make sure that cost of funds is within a tight range.

With regard to Asset F inance and stage 3, as Ramesh mentioned, and I also mentioned earlier, we have worked very hard to make sure we put a lot of boxes in place with regard to our base number – in terms of growth, in terms of focus, in terms of what we would do. Now what you're seeing as a number reduction is actually on a flat book. Now, if you just take it slightly differently and the book starts growing, this number will actually start moving do wn. And that's the first focus that we have to make sure the risk -adjusted return that the book gives are a lot healthier. And if things improve in the economy, pretty much hope that this number of stage 3 also starts moving down wards.

Shreya Shivani: Righ t. And just a follow -up on the asset finance book in for your customer base, all the fuel supply shock, all the – the fuel price hike etc ., is there any particular segment where you are still concer ned or you feel they are fairly – the fleet operators are in a decent position at current levels?

Jaykumar Shah: As at last week, we were good. I think let's wait and watch, again as I said, events happen, yes.

Shreya Shivani: All right, okay. That's useful. Thank you so much and all the best.

Jaykumar Shah: Than k you.

Moderator: Thank you. Your next question comes from the line of Shreepal Doshi with Equirus. Please go ahead.

Shreepal Doshi: Hi sir, congrats on a good number. I just had one question which is pertaining to the segments that we have vacated or whe re we have where we're f ocusing less. So, is it because – is it purely because of because these segments are low yielding or is it also that you're seeing there is heightened competition there or there is emerging stress there?

Jaykumar Shah: So, Shreepal, it's a combination. As Ramesh mentioned the focus is really risk -adjusted return. So, it's not looking at just the yield or just the competition. At the end of the day if we believe that we can make our Ro A from a particular product, we will double down on it. If we believe at some points in time that these produc ts won't fetch us the desired Ro A over a period of time, then no point trying to put our energies more into it, right? And that's the reorg . that R amesh

also mentioned that we've largely gone through. And it’s now time to double down on what we're good at and where the risk -adjusted return is healthier.

Shreepal Doshi: Got i t. So in that case, like at one – at some point would we look to shut down mi crofinance? Because, I mean, that we've been doing for quite some time and we 've not really scaled up. Be it – maybe it is positioned that way or maybe it is strategized that way. But then would we look to shut it down or something like that?

Jaykumar Shah : So I don't think at this point in time we'd want to even comment on it. Today it gives us a great moat in terms of understanding the rural market, right? And without really stressing out on P&L if somebody allows me through a couple of hundred branches t o go into rural, understand the local markets, see how we can serve our customers better, I think it's a great thing and it also makes me positive P&L, then why worry too much, right? It's not something which stresses out on P&L or credit cost beyond a poi nt.

Shreepal Doshi: Got it sir. Thank you. Most of my other questions have been

answered. Good luck sir for the
next quarter.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Your next question comes from the line of Piran Engineer with CLSA. Plea se go ahead.

Piran Engineer: Yes, hi team. Thanks for taking my question and congrats on the quarter. Just wanted to understand how freight rates have moved in the last two months for CV operators, especially your segment of CV operators?

Jaykumar Shah : So Piran, it's been fairly stable is our understanding for our customer base. But in case if you're seeing something different on the ground, then happy to hear and we can have a conversation later as well to understand better. But for us it's been fairly stable over the last couple of months.

Piran Engineer: So I'm just trying to think then , what is the tipping point , because you've seen fuel go up 8% - 9% and while freight demand has been okay. At what point would they need to raise freight rates to sort of maintain the same profitability level?

G Ramesh: So Piran, we as a company don't have a large exposure to fleets. Their financial requirements are much larger on an annual basis. And if you have seen our commentary, our Top 20 customers account for just about 0.3% of our assets under management. So we are a retail company as retail

as it can be. And our focus is really on customers who are the small fleet operators and individual buyers and captive users.
In lot of these segments, transport is not l inked to distance traveled, it's more a per day rate for hiring a vehicle. Th ink of your – the last time you or somebody in your family rented a truck to move from place A to place B within Mumbai. The contract was not the distance from place A to place B is 20 kilometers, but it's a per day rate. So, when you look at constructs like that, the fuel cost is a relatively small proportion of the total bill that you end up paying to the transporter.

I think what really worked well was that the fuel price hikes were done in small doses, which meant that people found ways of absorbing that cost.
I think the tipping point might happen if there's a sudden steep 3% to 5% increase in a single overnight because that means that there's a certain amount of lag the trans porters will have before they reprice and they're able to renegotiate long -term contracts that they have. This is primarily for fleets and people who work with large goods movers. But it's really an inexact science, but I hope you get the drift of what I'm saying in terms of how small the doses are and what kind of contracts do you have and what kind of repricing frequency that you have in the contracts. There are, for example, construction equipment, there are contracts where the person has to, let's say ply an equipment in a mine, but the fuel is supplied by the principal. So i n such contracts the contractor i s fuel price agnostic.
Piran Engineer: Understood. So I take it that most of our customer segment is – I mean, does not deal in long - haul operation.
G Ramesh: That's right. Large fleets which have fixed price contracts which probably can get negotiated only once in three months or once in six months, we don't have large exposure to that segment.
Piran Engineer: Got it. Okay. Secondly, wanted to get a sense of the ECLGS requests or sanctions by you all so far.
G Ramesh: So it's work in progress, Piran. You know, don't have a large number yet. So the real challenge is that the ECLGS is specifically around working capital. So we have to establish end u se. So somebody can't use ECLGS just to , let's say buy a new commercial vehicle or to buy a new asset. It has to be – so that we have to be able to demonstrate that there is a working capital gap that needs to be filled in because of specific challenges th at the borrower is facing around , let's say collections , because of his exports getting delayed an

d things like that. So that process is little more involved than what the previous ECLGS frameworks were. So we're making sure that we're working through that. It is coming through, but not in great numbers.
Piran Engineer: Understood. And just to be clear, while the gap in the cash flow of the borrower could be working capital related, if your loan is a term loan, it still qualifies for ECLGS, right?
G Ramesh: Yes, provided the end use is for working capital.
Piran Engineer: Got it, got it. Okay. Yes, that clears it. Yes, that's it from my end. Thanks and thanks for answering the questions and wish you all the best.
G Ramesh: Thank you so much.
Moderator: Your next question comes from the line of Rajiv Mehta wit h YES Securities. Please go ahead.
Rajiv Mehta: Yes, hi, good evening. Congrats on strong asset quality and profitability performance. So, I've got two questions. First is on credit cost. I think somewhere in the opening commentary you said about 2.3% cred it cost for the whole year. But when I look at your Q1 run rate, it's already 2.3% and when I look at the flow rates, the flow rates are nearly half of the last year. And even the

write -offs have stabilized. So, are there any risks or trends that you are b uilding when you speak about 2.3% credit cost for the whole year and not declining from where we are?
Jaykumar Shah: Rajiv, thanks for that question. I think what we said was 2.3% is what we look at as a steady - state credit cost. We don't really guide for the year. And I think there was another question which said could we expect it to be lower. As the markets develop, right, in terms of the broader economy, if the economy is better, then the number will be lower, right? So, it's something which we're close ly monitoring.
One of the key things that has im pacted us in the past has been El -Nino kind of an impact because of monsoons. So, we're watching it very closely, we're monitoring it daily, weekly basis, to make sure if there are any signs that we need to p ick up, we need to go in and have different approaches, apply plan A, plan B, plan C etc. So, all of that's in place. At this point in time, from where we stand, we believe, we should be able to work on things and improve. But let's see how we get along. O n an overall basis, I think the way we've looked at it, a trajectory over a three - year CAGR etc. , we believe a 2.3% is a fair number. If things change over the next few quarters,

then we will look at it.
Rajiv Mehta: Yes, but as we speak the risk matrices across products are moving fine, right?
Jaykumar Shah: Yes.
Rajiv Mehta: Okay. And then the second on growth. We completely appreciate the strong intent of growth, but wanted to understand some specific actions that we have taken in some of the key prod ucts like LAP, CV, maybe Unsecured Business L oans to augment growth, sourcing, productivity. If you can just kind of give us some – give us some clarity about how the growth will play out in these products. Because right now the growth there is sub -optimal at this point in time, yes.
Jaykumar Shah : So let me pick it up at a higher level and then we can have conversations in a different forum, but I'll try and do a quick two -three min utes on it.
So, if you look at Enterprise L ending as a whole –
On the LAP front, if you see the trajectory, we have been improving over the last three quarters, right? And the growth has steadied around a 3 % to 4% kind of a number. We're pushing hard on it. We've done a few more actions in terms of geographies, in terms of marke ts, where it should help us take it a little up from there and then it comes into a reasonable state where it delivers to the overall objective.
In terms of G old loan, the question is not a percentage, it is how many multiples and how fast can we do. Toda y we have 500 plus branches enabled on gold with th

e portfolio size that we
have. Even in our current branch network, we have the capacity and the network and the systems to probably double it over a period of time. And the only question is really the peri od of time which we're work ing on very closely internally.
Then when you look at the Unsecured Business L oan side of it, as we mentioned, a lot of focus has gone in in terms of on the ground within branches, a few hundred branches really focused

on it whe re we believe we can double down and now start growing, but asset quality has become fairly standard over the last four to five quarters. The confidence is there to be able to grow that book and that's something we believe as we go through the current quar ter and the next quarter, you should see that as an outcome, rather than me speak as to what we would do. I'd rather have the outcome speak and then we have a conversation. So that's on the Enterprise L ending side.
On the Asset F inance side,
We've over th e last half an hour plus we've stressed upon the fact that how we've gone into and zeroed in all the products that we want to do. I can tell you today on all the pro ducts that we wish to focus on across CV and CE, our volumes are actually higher than what we were doing before. May was our highest ever volume for a large number of products that we want to do more of. So that gives me a lot more confidence of our ability, of our strength on the ground to be able to double down and do more of. As far as tracto r goes, it's a small book. We're making sure we focus on it and grow. So that we'll talk about more as things crystallize.
On the C onsumer side,
You've seen the numbers. The only place we need to do more of is A uto. Again there, very similar to how we've focused on the other asset products, w e have a plan, we have a focus – that is something that we're going to work through and make sure a few percentages go up there.
On the C onsumer Durables side and our R elationship PL, we're doing well and we want to d o a lot more of. In that business, if you see in our pack, we've put down an entire focus around 'Shikhar ,' that Ramesh spoke about and how do we really use the intelligence that we have, how do we really use AI to get in, become a lot more nimble in terms of the TAT that we deliver at, in terms of the quality that we deliver at, in terms of the customers that we choose. There's a huge amount of focus going there. Obviously, everything takes a little more than hours in terms of putting these practices into place. So, it will take a few days, a few weeks, a few months in terms of the initiatives that we've taken and as we start to deliver them, you will see that grow th actually becoming a part of the bloodstream and becoming a lot more consistent as well.
So that's a roundup on all of our businesses and why we have the confidence that from where we stand today, we believe it's more of a constant journey and as we've s aid towards the Shikhar in terms of where we're lending towards.
Rajiv Mehta: Yes, thank you. Thank you, that's clear.
Moderator: Thank you. Your next follow -up question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Yes, thank you for allowing a follow -up. Just wanted to understand, is there some seasonality around the yields and the repayments that we report in Q1? Because if I look at last year as well, from Q4 to Q1 the yields had moved up, same thing hap pened this year as well.
Moderator: Sorry to interrupt, Abhijit sir, your line is not very clear if you can repeat the whole question once again, please.

Abhijit Tibrewal: Is it better now?
Jaykumar Shah : No, no Abhijit, can't hear you. Can yo u try once more?
Abhijit Tibrewal: Yes, Yes, sure. So, all I was just trying to understand is there some sea

sonality to the yields and
the repayment , the book run down in Q1 because yields tend to expand in Q1, and then the repayments also the run down in the book tends to be lower in the first quarter and then picks up in the remaining three quarters. So, is there any way to explain that or that is something which cannot be explained?
Jaykumar Shah: No, so it's purely product mix. So, on an individual prod uct-wise there is no real difference there. So, our yields have been fairly constant and the business has done a really great job in terms of holding on to the yields in terms of challenging market and competition and pushing hard on stuff. So, I think the re they've done well.
But obviously if you see our C onsumer Durables book has grown higher in the current quarter, which is the season that we have in terms of the compressor products, and the next big season comes really Dussehra -Diwali, right? So, there is some amount of seasonality because of which yields go up a little bit, they moderate and then they again go up. So, there is – that amount of seasonality purely on account of product mix, nothing more than that.
Abhijit Tibrewal: Got it. That answers my question. Thank you and I wish you all the very best.
Jaykumar Shah: Thank you so much.
Moderator: Thank you. As we are at the end of allotted time, I now hand the conference call over to Mr. Jaykumar Shah for closing comments.
Jaykumar Shah: Thank you, Sagar. Thank you very much everybody for joining in. I'm aware it was a very busy afternoon and evening for most of you. If you have any further questions, please feel free to contact our Investor Relations team, and we'll be very happy to engage with you and answer all your questions. Thank you so much, have a great evening.
Moderator: Thank you. On behalf of HDB Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been lightly edited for clarity and accuracy